State Housing Initiatives Partnership

(SHIP) Program

Program Overview

and

Procedures Manual

Florida Housing
Finance Corporation
we make housing affordable

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Section One
SHIP Overview

1-A State Housing Initiatives Partnership (SHIP) Program Overview

The State Housing Initiatives Partnership program (SHIP) provides funds to eligible local governments as an incentive to create partnerships that produce and preserve affordable homeownership and multifamily housing. The program was designed to serve very low-, low- and moderate-income families.

SHIP funds are distributed on an entitlement basis to all 67 counties and 56 Community Development Block Grant (CDBG) entitlement cities in Florida based on population. SHIP dollars may be used to fund emergency repairs, new construction, rehabilitation, down payment and closing cost assistance, impact fees, construction and gap financing, mortgage buy-downs, short-term acquisition of property for affordable housing, matching dollars for federal housing grants and programs, homeownership counseling, and other activities as required by legislative action.

1-B SHIP Program Governance and Requirements

1. **Legislative Authority:** Chapter 420, Part VII, *Florida Statutes*
   Rule Chapter 67-37, *Florida Administrative Code*

   Link: SHIP Governance

2. **Funding:**

   Funds are allocated on a population-based formula. The minimum allocation is:

   - $350,000 per county.
   - SHIP funds are distributed by FHFC on an entitlement basis to all 67 counties and 56 CDBG entitlement cities.
   - When available, funds are disbursed at least quarterly to eligible communities as documentary stamp revenues are deposited into the Local Government Housing Trust Fund.

   Total actual disbursements are dependent upon documentary stamp collections.

3. **Population Served:** Very low, low, moderate and households up to 140% AMI.

4. **Statutory Requirements:** For initial participation in the SHIP Program, a Local Government must:

   a. Establish a Local Housing Assistance Plan (LHAP) by ordinance. Additional detail (including links to templates) can be found in Section Five.
   b. Submit the LHAP to Florida Housing Finance Corporation (FHFC) and receive approval of the LHAP.

c. Within 12 months, an amendment to the LHAP must be adopted to incorporate Local Housing Incentive Strategies. The Local Housing Incentive Strategies must be recommended by the Affordable Housing Advisory Committee.
d. Within 24 months of adopting the Local Housing Incentive Strategies, amend the land development regulations or establish local policies and procedures, as needed, to implement the incentive strategies.
e. Encourage the involvement of appropriate public and private sector partners to form a partnership in order to combine resources to reduce housing costs.

5. **Set-aside Requirements of Funds:**

a. A minimum of 65% of the allocation, plus recaptured funds, must be spent on eligible homeownership activities.
b. A minimum of 75% of the allocation, plus recaptured funds, must be spent on eligible construction/rehab activities.
c. At least 30% of funds from all SHIP sources must be reserved for very-low-income households (up to 50% of median income).
d. At least 60% of funds from all SHIP sources must be reserved for very-low-income households and low-income households (up to 80% of median income).
e. At least 20% of funds must be expended to assist applicants qualifying as Special Needs as defined in 420.0004 (13).
f. The remaining funds may be reserved for households up to 140% of median income.
g. No more than 5% of SHIP funds may be used for administrative expenses. If a local government makes a finding of need by resolution, a local government may use up to 10% for administrative expenses. Additionally, 5% of program income may be used for administrative expenses. Administration costs cannot exceed 10% of SHIP funds plus 5% of program income, except for small counties and eligible municipalities. "Small county," as defined in s. 120.52(19), means any county that has an un-incarcerated population of 75,000 or less according to the most recent decennial census. Small counties and eligible municipalities that receive a local housing distribution of up to $350,000 may use **up to 10 percent of program income** for administrative costs, according to section 67-37.007 (5)(f) of the SHIP Rule.

6. **Eligible Housing:**

SHIP Funds may only be used to assist housing meeting the standards of Chapter 553, *Florida Statutes*. SHIP funds may also be used to assist mobile homes or manufactured housing constructed after June of 1994 and are limited to expending 20% of the overall allocation on this activity.

7. **Maximum Purchase Price or Value:**

Must not exceed 90% of the Average Area Purchase Price established by the U.S. Department of Treasury or determined by the most recent 12-month period for which sufficient statistical information is available. Current limits can be found at:

http://www.floridahousing.org/programs/special-programs/ship---state-housing-initiatives-partnership-program/purchase-price-limits

8. **Loan Terms:**

Local governments provide assistance in the form of grants (for certain approved strategies), deferred payment loans, or direct (hard pay) loans. The terms are established by each local government. Local governments must provide for recapture of funds in the event that the household receiving assistance ceases to meet the requirements of the loan or grant. For rental units, the owner must agree to set aside the units for affordable housing for a minimum of 15 years.

9. **Housing Strategies:** The Statute allows for maximum flexibility to local governments to determine the use of SHIP program funds. Some of the strategies utilized by local governments include:

Down Payment Assistance	Special Needs Barrier Removal
Housing Rehabilitation/Emergency Repair	Foreclosure Prevention
New Construction	Disaster Mitigation/Recovery
Rental Development	Tenant Rental Assistance

10. **Financial Allocation/Disbursements:** A list of yearly allocations to each SHIP local government can be found at:

http://www.floridahousing.org/programs/special-programs/ship---state-housing-initiatives-partnership-program/ship-collections-and-disbursements

11. **Corporate Staff Contacts:**

Managing Director of Policy – Bill Aldinger
bill.aldinger@floridahousing.org
Director of Special Programs – Robert Dearduff
robert.dearduff@floridahousing.org
Program Manager – Kathy Cutler
kathy.cutler@floridahousing.org

12. **Web Based SHIP Information**

Information may be found under the "Programs/Special Programs/SHIP" section on the internet:

http://www.floridahousing.org/programs/special-programs/ship---state-housing-initiatives-partnership-program

The SHIP portion of the website includes posting of all current local government LHAP's, purchase price limits, income qualification limits, allocation amounts and other pertinent program information.

Additionally, local governments receiving SHIP funds are required to submit their

Annual Reports (AR) through a web-based portal designed and hosted by FHFC. This system allows for real time review of reports and up to the minute reporting capabilities. The system can be accessed at:

http://www.floridahousing.org/programs/special-programs/ship---state-housing-initiatives-partnership-program/ship-annual-report

1-C Mission Statements

Florida Housing Finance Corporation Mission Statement:

The mission of the Florida Housing Finance Corporation (Florida Housing) is to help our fellow Floridians obtain safe, decent housing that might otherwise be unavailable to them.

Florida Housing continues its mission by increasing affordable housing opportunities and ensuring that its programs are well matched to the needs of those we serve. We know that we cannot accomplish our mission alone. As such, we continue to work with local governments, non-profits, elected officials and others to help spread the importance of affordable housing in Florida's communities.

SHIP Program Mission Statement:

To create a strong partnership with local governments to promote the creation and preservation of affordable housing by assisting in the development and refinement of creative local housing assistance and incentive plans.

1-D Core Philosophy

FHFC's guiding philosophy is to target and facilitate the production of safe, affordable housing for all Floridians by aggressively fostering public-private partnerships and maximizing our efforts through efficient leveraging of limited resources.

Central to these efforts, FHFC will continue to provide incentives and assistance through its array of programs which are designed to meet the critical housing needs of Florida's low to moderate income residents.

1-E FHFC History

Seventeen years after the [Florida Housing Finance] Agency's founding, another page in its history was written with the passage of a landmark bill that reconstituted the Agency as the Florida Housing Finance Corporation, beginning January 1, 1998.

The decision to pursue the corporation structure was the next logical step toward assuring that Florida's acute shortage of affordable housing is addressed through programs that create safe, decent, affordable housing for all Floridians, as well as to provide opportunities for work, and job creation for Florida's citizens.

The adopted legislation, which was signed into law by Governor Chiles on May 29, 1997, further streamlined internal processes to ensure that affordable housing properties financed through the Corporation in the future would be built faster and more cost effectively.

On July 1, 2011, FHFC was transferred to the newly created Department of Economic Opportunity (later the Department of Commerce) directly under the Executive Office of the Governor.

FHFC provides affordable housing efficiently by:

1. Eliminating duplication in the release of funds process;
2. Being the issuer of its own bonds;
3. Establishing an outcome-based performance measurement system for release of funds;
4. Creating real savings to the state in the elimination of duplicated state services; and
5. Expanding the scope of technical assistance programs.

The resulting flexibility advances FHFC's effort to work collaboratively with local governments and the private sector to build and preserve affordable housing for Floridians. Having earned the distinction as one of Florida's largest real estate lenders, FHFC serves as the state's leading provider of affordable housing and sole issuer of federal tax credits. Key to the growth and performance of FHFC is the guidance it receives from an 11-member Board of Directors, which establishes the Corporation's operating policies. Eight members appointed by the Governor and confirmed by the Senate, one member appointed by the President of the Florida Senate, and one member appointed by the Speaker of the Florida House of Representatives serve four-year terms. The Secretary (or designee) of the Department of Commerce serves as an ex-officio voting member. The allocations of the Corporation's revenue from both state and federal sources are directed by the Board and are based upon a determination of need, program goals and the availability of those resources.

1-F Description of Operations

To maximize its service to the citizens of Florida, FHFC must successfully interact with and operate in the private sector arena. Therefore, to the greatest degree possible, the Corporation's operating philosophy and procedures should approximate those of successful lending entities.

Section Two
SHIP Staff

2-A Managing Director of Policy

The Managing Director of Policy oversees the administration of the SHIP program.

Responsibilities of the position include:

1. Review recommendations of the Director of Special Programs.
2. Present recommendations to the FHFC Board of Directors.
3. Resolve issues presented by the Director of Special Programs.
4. Present relevant information to the Executive Director and Board of Directors.

2-B Director of Special Programs

The Director of Special Programs oversees the day-to-day operation of the SHIP program and acts as Liaison to Local Government SHIP Administrators.

Responsibilities of the position include:

1. Work as liaison between FHFC and Local Government SHIP Administrators.
2. Oversee LHAP process.
3. After the Review Committee has reviewed the LHAP, prepare and deliver review committee comments with recommended revisions to each local government.
4. Distribute pertinent information regarding SHIP program allocations to Local Governments.
5. Oversee contract for Catalyst Program (section four) and coordinate the activities under the program with contracted provider.
6. Presentation of program at various conferences, trainings and meetings.
7. Oversee annual report process.
8. Maintain updated information on SHIP web page.
9. Management of program staff.
10. Management of program budgets.

2-C SHIP Program Manager

The SHIP Program manager manages the daily business of the SHIP program.

Responsibilities of the Manager include:

1. Establish and maintain exception reporting logs to include Local Government LHAP's, Purchase Price Limits, Expenditure Extension Requests, Affordable Housing Advisory Committee (AHAC) Reports, Annual Consolidated Financial Reports, and Florida Single Audit Act.
2. Provide technical assistance (client/customer service) to local government SHIP administrators.
3. Plan, direct and coordinate the review of annual reports.

4. Establish and maintain performance reporting to include Financial Sources and Uses Report, Leveraging Report, and Characteristics Report.
5. Coordinate and act as liaison to FHFC Staff and the Florida Housing Coalition.

2-D Finance Department

The Finance department processes all financial transactions for the program. For SHIP, this primarily takes the form of disbursing funds to local governments as those funds are made available to FHFC from the state.

2-E Compliance/Finance Departments

The Compliance and Finance Departments monitor the activities of local governments to determine compliance with program requirements.

This is accomplished through desk and on-site reviews, examining the records, documents and processes established and maintained by local governments in the SHIP program.

2-F Legal

Legal Counsel concerning the operation of the SHIP program is performed through FHFC's General Counsel's office. This may include:

1. Review and consultation on rule development and changes.
2. Interpretations of statute and rule.
3. Review of local government client file documents such as loan agreements, mortgages in cases of disputes.
4. Other documents or facts related to disputes between homeowners and local governments.

2-G Inspector General

The Inspector General's office provides guidance and investigatory services in cases where there is a dispute between a SHIP client and a local government that involves an accusation/suspicion of fraud or malfeasance.

2-H Executive Director

The Executive Director has authority over all FHFC programs including SHIP.

Section Three
Affordable Housing Catalyst Program

3-A Technical Assistance and Training Available

Technical assistance (TA) and training is provided to local housing partnerships in the areas of SHIP, State HOME, and other affordable housing programs through the Affordable Housing Catalyst Program. The Florida Housing Coalition (www.flhousing.org) is contracted to provide guidance on SHIP program design and assistance with housing regulation compliance.

1. Telephone and email technical assistance: available Monday through Friday at 1(800) 677-4548 and info@flhousing.org. The Coalition can answer immediate questions or offer longer-term guidance to assist throughout the stages of a project or program management.

2. Webinars and Workshops: the Coalition delivers an array of topics to help with administering SHIP, State HOME, and other affordable housing programs. These sessions typically last around 90 minutes. Email info@flhousing.org to be added to the list for announcements of upcoming trainings.

3. Technical assistance is available to assist staff and their local housing partners with a number of topics, including but not limited to:
   a. Affordable Housing Program Design and Implementation
   b. Income Compliance and Eligibility Determination
   c. Compliance with Regulations and Administration
   d. Preparation of Policies and Procedures Manuals
   e. Implementation of systems to maintain records, tracking, reporting, and monitoring of programs
   f. Forming public/private partnerships
   g. Meeting Set-Asides for Extremely Low Income and Special Needs Housing
   h. Working effectively with lending institutions
   i. Affordable Housing Advisory Committee training

3-B Steps for receiving On-site Technical Assistance

1. Local Government (LG) staff calls the TA provider or FHFC SHIP Program staff and explains the assistance needed. FHFC staff will recommend TA as necessary.
2. The assigned Technical Assistance Team member will interview the LG staff on the phone to complete the intake process, and a recommendation will be submitted to Florida Housing.
3. Once approved, during the TA visit, the LG staff will receive one-on-one individualized assistance, tailored to meet specific needs of the LG. After the site visit, the Technical Assistance provider will follow up by telephone to resolve any outstanding issues or to perform additional research as needed.
4. After the on-site visit, the LG staff may be asked to provide feedback regarding the assistance received. FHFC staff and the Coalition staff will use the information provided to evaluate how services can be improved.

Section Four
Local Housing Assistance Plans

4-A LHAP Description

The LHAP for each local government describes the methods (housing strategies) by which they will expend the SHIP funds allocated to the jurisdiction. Generally, the LHAP is submitted once every three years and covers three fiscal years funding. The LHAP can be amended at any time.

4-B Local Housing Assistance Plans Process

1. Local Government adopts Local Housing Assistance Plan by Resolution.
2. Local Housing Assistance Plan is submitted electronically to FHFC staff which reviews and prepares the LHAP and schedules a SHIP Review Committee meeting.
3. Plan is reviewed within 45 days of submission at the meeting by SHIP Review Committee and: approved, approved with comments or not approved (withheld).
4. Local government is notified of decision and related comments regarding the Plan if required or notified of approval via e-mail.
5. Local government resubmits Plan with revisions to SHIP program staff within required timeframe.
6. Plan is again reviewed with revisions and approved if all requirements are met. If the plan is not approved, the process continues as described above.

Approvals are sent to local governments electronically. The above procedures also apply to plan amendments. Technical revisions to a Plan are reviewed by staff and approved electronically.

Changes to the LHAP are considered a plan amendment when a strategy is added or deleted and require approval of the SHIP review committee. All other changes can be made as technical or clarifying revisions and can be approved by the LG governing board and submitted to the SHIP Administrator for the purpose of notification.

4-C Review Committee

The SHIP Review Committee is made up of five FHFC staff members appointed by the Executive Director. The committee members bring a wide array of experience and perspective in the affordable housing arena including: federal programs, homeownership programs, multifamily programs, compliance monitoring and quality assurance.

4-D LHAP Template

The LHAP template (Appendix D) and all exhibits are the required format for submission of the Plan. The documents can be located at:
https://www.floridahousing.org/programs/special-programs/local-housing-assistance-plan-(lhap)/lhap-template-and-exhibits-(docs)

This page also contains instructions on completing and submitting the LHAP.

Section Five
Program Administration

5-A Advertising

SHIP requires that funds be advertised before taking applications for assistance (SHIP Rule 67-37.005 (6) (a) & (b), F.A.C). Funds must be advertised through a notice of funding availability at least 30 days prior to taking applications. The exception to this requirement is if funds are not available due to a waiting list that is adequate to expend all anticipated funds. Advertising the availability of funds from multiple SHIP allocation years can be especially helpful. The SHIP program requires advertising in a newspaper of general circulation and periodicals serving ethnic and diverse neighborhoods. At a minimum, the advertisement shall contain:

1. The amount of funds projected to be received from the state for the fiscal year(s).
2. The beginning and ending date of the application period.
3. The name of the contact person and other pertinent information where applicants may apply for assistance (phone #, address, email, and hours of operation).
4. Additional information may also be included in the advertisement, but these items are not mandated by the SHIP program requirements. These might include an estimated amount of funds available per strategy, the maximum per unit award amounts, income set-asides for each strategy and local income limits, the maximum unit value, and a description of the selection criteria.
5. When advertising for sponsors to assist with the implementation of local programs, many communities prefer an advertisement that is separate from the advertisement announcing housing services and strategies that the city or county government staff members implement in-house. Advertisements should include the selection criteria used to evaluate proposals from potential sponsors and should include the total amount of funds available for the activity that requires a sponsor.
6. When awarding funds for assistance to individuals, sponsors, sub recipients or providers of housing-related services, it is important for the local government to establish a fair and equitable process for selection. For awards to individual applicants, criteria are established by the program requirements, income set-asides and local preference, such as targeting to special needs populations or elderly. Eligibility for individuals is based upon annual household income and also sometimes by a first-qualified/first-served system. Some communities prefer to use a ranking and scoring system or a lottery system for selecting individual applicants.

5-B Sponsors and Sub Recipients

1. The process of awarding funds requires housing administrators to understand the difference between a SHIP Sponsor and a Sub recipient:
   a. A Sponsor receives a SHIP award to be spent on a specific housing service or construction activity. For example, a nonprofit developer may apply for funding from a Rental Development strategy in the SHIP local housing assistance plan. If awarded funds, this Sponsor will build SHIP-funded rental units.
   b. A Sub-recipient administers some portion or all of the local SHIP program and is paid a SHIP service delivery fee for this activity. For example, a nonprofit organization may fully implement a SHIP purchase assistance strategy. The Sub

recipient's staff may locate buyers, determine their SHIP eligibility and work with them through the day of purchase.

2. When awarding funds to sponsors or sub-recipients:
   a. A selection process is established to solicit participation in the local program, as required in Section 420.9075 (4)(a), Florida Statutes and SHIP Rule 67-37.005 (6)(d).
   b. A Request for Proposals (RFP) or other solicitation details the threshold criteria (minimum requirements for selection) and other desired qualifications.
   c. Local governments create their own unique requirements, which are based on the project activities and other local preferences. These may include project feasibility, ability to proceed, project timetable, leveraging of funds, and past performance on similar projects.
   d. Funds are usually awarded using a ranking and scoring system.
   e. The criteria in the RFP serve as the basis for the scope of work to be included in the contract between the local government and the selected sponsor-developer.

3. Advertising for other services, such as for individual contractors to repair a specific unit in the local rehabilitation program, providers of credit and home ownership counseling services, or any other professional services needed in conjunction with administering the local program, should follow all local procurement procedures.

4. If any portion of the SHIP program will be administered by a sub-recipient you must:
   a. Provide FHFC with the name of the person or organization, the type of business, a description of the strategies, policies, procedures and responsibilities of each sub recipient or consultant managing any portion of the SHIP program.
   b. The agreement with the sub recipient shall also contain the standard audit language from the single audit act.
   c. The City or County receiving SHIP funds is responsible for the actions of the sub recipient and should therefore monitor the sub recipient on a regular basis to ensure that they are complying with all of the SHIP program requirements.

5-C Affordable Housing Advisory Committee (AHAC)

All communities shall name at least 8 members but not more than 11 members to an affordable housing advisory committee (AHAC) established as outlined in 420.9076 (2), F.S. The committee must consist of one representative from at least six of the eleven representative categories lists in the SHIP statute. The AHAC has the responsibility to review established policies, procedures, ordinances, land development regulations, and the local government comprehensive plan and make recommendations on initiatives that will encourage affordable housing. A new report must be submitted to the local government governing board by the AHAC by December 31 of each year.

Even though the committee must review all 11 items listed in the Statute, the following two incentives must be implemented:

1. An expedited permitting process for affordable housing projects.

For implementing the expedited permitting process, you can have a unique color folder for those permits, a stamp that lets the building department know that this is an affordable housing project, or a form that is attached that will state that this permit is for affordable housing. You can also designate a staff member that will be responsible for expediting permits for affordable housing. This person will answer all questions related to the permit and ensure that the permit is not delayed while it is being processed.

2. An ongoing process for review of local policies, procedures, ordinances, regulations or plan provisions that increase the cost of housing, prior to adoption.

   One way to comply with this requirement is to designate your AHAC or your planning board to review these documents on a regular basis and report back to the governing board. You can also designate one or several staff members to be responsible on an ongoing basis to conduct these reviews and bring this information to the attention of the governing board. The certification that is submitted with the annual reports will ask you to list the actual financial impact of those local policies, procedures, ordinances, regulations or plan provisions that increase the cost of housing per unit for existing housing and new construction. This must be reported on an annual basis.

   Remember to submit an electronic copy of the reports submitted to the governing board to FHFC by December 31 of each year.

   More guidance on the responsibilities of the AHAC is available in the publication "Affordable Housing Incentive Strategies: A Guidebook for Affordable Housing Advisory Committee Members and Local Government Staff". It is available at 8-4-21-AHAC-Guide-UPDATE.pdf.

5-D Applicant Intake

Traditionally, local housing offices or non-profit sub-recipients are the point of contact for anyone seeking local program information and housing assistance. Applicants may be referred via Realtors, lenders or social service agencies. Regardless of the initial point of contact, it is the responsibility of the local government program administrator to ensure that applicant eligibility is correctly determined. See Appendix A for Applicant Qualification detail.

Eligibility primarily refers to household income being within the prescribed program limits (see the definition of "eligible household" in Section 420.9071 (10), Florida Statutes).

1. It is important to ensure:
   a. That the SHIP program does not discriminate against any class of potential applicants.
   b. All persons are treated equally when serving affordable housing needs.
   c. That the Fair Housing Act is adhered to. The Act is the term commonly used to describe the provisions of Title VIII of the Civil Rights Act of 1968, as amended in 1988.
   d. The Act which states that it is unlawful to discriminate on the basis of race, color, religion, sex/gender, familial status, national origin, or handicap is followed.

e. That the Florida Statute ss.760.20-760.37 which prohibits discrimination on the basis of marital status, and age in the award application process for eligible housing is adhered to.
f. An informed applicant will help minimize future misunderstandings. To this end, applicants should be informed early in the process of the program's income limits, benefits, stipulations for assistance, repayment terms (if applicable) and anticipated timeline from application to assistance.

2. The application for assistance should contain all the necessary information to determine whether an applicant household is potentially eligible for SHIP assistance. At a minimum, an application for program assistance should contain the following items for each household members:
   a. The number of people residing in the household including name, age, relationship to head of household, current address and home phone number;
   b. Name and address of employer(s), work phone number(s), position title and number of years on job with employer;
   c. Sources of annual income, including earned, unearned and asset income, and a statement signed by all of the adults who reside in the household consenting to the disclosure of information for the purpose of verifying income and assets for determining income eligibility for program assistance.
   d. A signed statement indicating that the applicant understands that all information provided is subject to Florida's public records laws.
   e. A statement that it is a first-degree misdemeanor to falsify information for the purpose of obtaining assistance.
   f. NOTE: Sometimes SHIP is leveraged with other funds which require an alternative income definition and an alternative application process. In such cases, you may need to contact the Florida Housing Coalition to help confirm if the alternative application process collects the following details, since some data may not be on an application form but instead be among other documentation for the SHIP assistance.

3. When scheduling the eligibility interview:
   a. Inform the applicant of the necessary documents to bring to the interview.
   b. It is always preferable to complete the application for assistance in a scheduled, face-to-face interview where the applicant can be prompted to provide accurate and comprehensive income and household information.
   c. It is common for applicants to misunderstand what items to count toward annual income. Housing administrators should review the application carefully to ensure that the applicant has provided all sources of income, including total household assets and asset income.

4. A waiting list for assistance should be established when it is appropriate for a particular strategy for which all available funding is committed. This waiting list should be sorted according to income limits (very low-, low-, moderate-and over income), as well as type of assistance requested (owner-occupied rehabilitation, purchase assistance, etc.). This will make it easier to assist applicants on a first-qualified, first-served basis, scoring and ranking, or lottery system, while complying with income targeting requirements for SHIP.

Section Six
Annual Reports

6-A General Description

All jurisdictions participating in the SHIP Program must submit an annual report of its local affordable housing program expenditures, leveraging and beneficiary characteristics (demographics). Annual Reports include the close out year and one interim year.

6-B Annual Report Process

The web-based portal for submission of SHIP Annual Reports (AR), the procedure for submission is as follows:

1. AR's are required to be submitted through the web based portal by local governments at http://www.floridahousing.org/programs/special-programs/ship---state-housing-initiatives-partnership-program/ship-annual-report
2. AR is reviewed by SHIP staff for completeness and compliance with set-asides and other program requirements.
3. Web based system will not allow local government to submit a report with errors or that is incomplete.
4. Local government works with SHIP staff to make corrections, if revisions are required.
5. A Certification is required to be uploaded into the system within 3 working days after the electronic submittal of the AR.
6. The "Review" tab allows for submission of the annual report and uploading of certification. Certification can be uploaded after submission of the annual report.

The benefits of the online AR reporting system are:

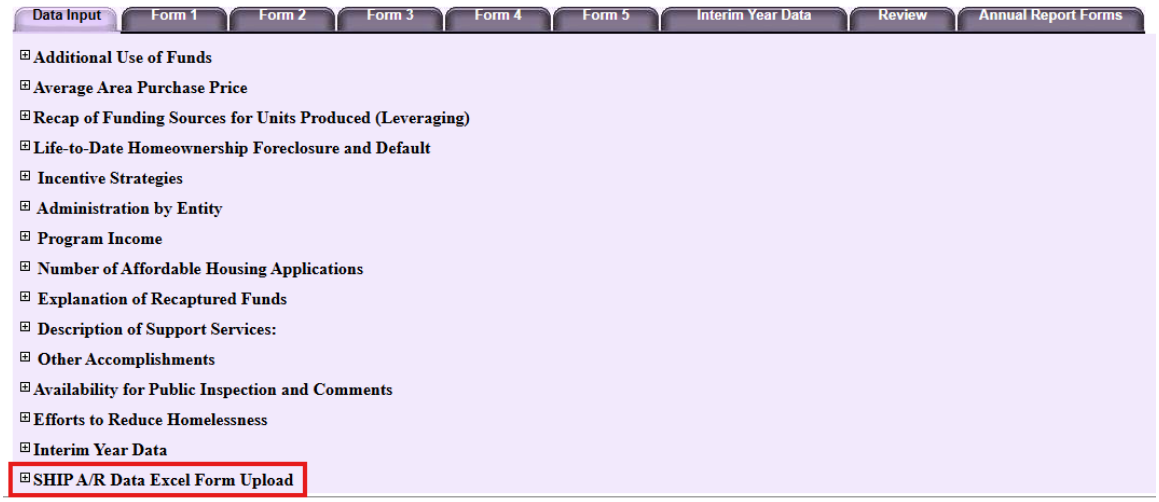
1. Real time submission and review of AR data
2. AR data can be utilized to generate:
    a. Close out reports
    b. Data requests from the Legislature

Information submitted on the AR is provided by the local government and is not verified by FHFC until compliance monitoring is conducted. It is the responsibility of the local government SHIP administrator to verify and ensure that the information provided on the reports is accurate and has been reconciled to the SHIP tracking and the general ledger.

6-C Annual Report Screen Shots

Data Input

The Data Input tab allows for input of data that does not appear on the Excel Form. The last option on this tab is the location to upload the Excel Data Form.



The data entered can be reviewed on the Form 1, Form 2, Form 3, Form 4, Form 5, and Interim Year Data tabs.

Review / Submission / Certification upload

The Review tab displays any validation errors or warnings and contains the "Submit this Report to FHFC" button. Once the LG has entered all closeout data on the Data Input tab, the data should be reviewed on all pages to ensure accuracy and completeness.

- Data validation errors will prevent submission. These errors must be corrected.
- Warnings will not prevent submission. These are notices to provide information that may be useful regarding the closeout or interim year data.

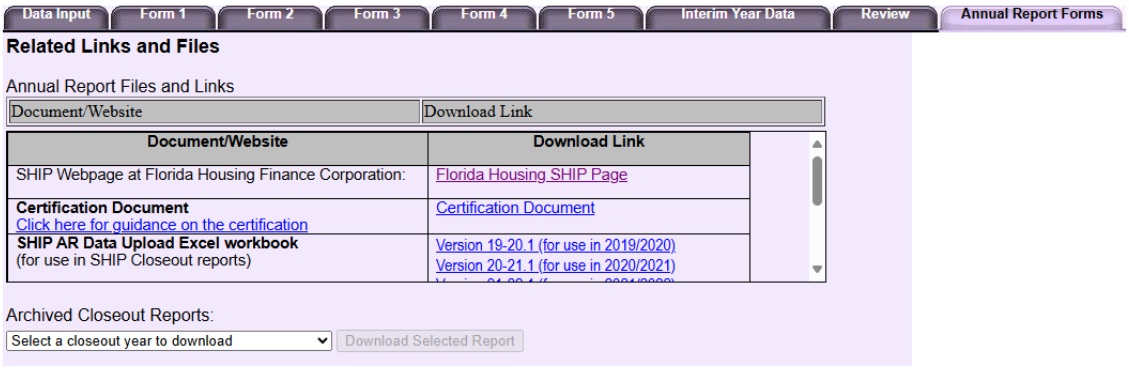
Once the information has been submitted to FHFC, an option to upload a Certification Form will appear.



Upload the certification for the closeout year. This option will remain available even after the report has been approved.

Annual Report Forms

The Annual Report Forms tab contains links to the FHFC SHIP pages, Excel forms for each closeout year, and Certification document template and instructions. Archived Closeout Reports can also be located on this tab.



Section Seven
Allocation of Funds

7-A General Description

SHIP funds are distributed on a population basis to all 67 counties and 56 Community Development Block Grant entitlement cities in Florida. The minimum allocation is $350,000 when funds are allocated through the trust fund by the Legislature. The amounts are based on a population formula calculation.

Funds are generally distributed on roughly a quarterly basis once they are made available to Florida Housing. Special allocations for specifically declared disasters, special legislative initiatives, etc. may be distributed on a formula other than the population formula. This will generally be based on need and only be allocated to local governments affected by or included in the special allocation.

Local governments that are in non-compliance with program regulations may be subject to having these funds withheld until the issue is rectified. If they are unable to rectify the issue, there is a risk of having the funds permanently discontinued.

7-B Fiscal Years with No Allocation

When there is no allocation of funding to SHIP from the local government housing trust fund by the legislature, local governments may still encumber and expend funds from "open" years funding that has not previously been expended or from funds that are generated as program income or recaptured funds. The local government must have an approved local housing assistance plan in place covering the applicable fiscal year in order to expend these funds.

Section Eight
Reports and Compliance Monitoring

8-A Annual Consolidated Financial Reports (ACFR)

Each local government is required to submit an electronic (PDF) or link to website containing the Annual Consolidated Financial Report to the SHIP program. The reports detail all financial aspects of their SHIP program.

8-B ACFR Process

1. Local Government submits ACFR and Florida Single Audit Act (FSAA) to FHFC SHIP staff for review.
2. If the Local Government was not subject to the Florida Single Audit Act, FHFC SHIP staff must be notified via email.
3. ACFRs are reviewed for any SHIP findings (CSFA 40.901) and a separately stated Trust Fund for SHIP.
4. Findings are reviewed by SHIP staff and Inspector General Staff to determine if the issues related to SHIP are serious management issues that require action on FHFC's part.

SOURCE: 67-37.008 **Local Housing Assistance Trust Fund.**
(2) The local housing assistance trust fund for all local governments including interlocal entities shall be separately stated as a special revenue fund in a county's or eligible municipality's audited financial statements. Electronic copies of such audited financial statements or a hyperlink to the website where the report is posted shall be transmitted annually to the Corporation no later than June 30th of the following state fiscal year. In addition to providing audited financial statements, all participating jurisdictions must provide evidence of compliance with the Florida Single Audit Act, as referenced in Section 215.97(7) and (8), F.S.

8-C AHAC Report

In accordance with SHIP Statute, AHAC Reports are to be conducted annually. The final report, including evaluation and recommendations, shall be submitted to FHFC SHIP Staff. Include the resolution or meeting minutes to show adoption of the report.
Local Governments receiving the minimum allocation may opt out of the annual review. Any LG opting out of the annual review should notify FHFC SHIP Staff via email.

8-C Compliance

1. Compliance monitoring by local governments participating in SHIP is the responsibility of FHFC's Compliance and Quality Assurance Departments. This monitoring is accomplished through desk reviews of local government SHIP programs. Compliance and Quality Assurance staff provide written reports with recommendations after each review.

2. Once the report is complete and the response received from the local governments, the report and response are posted to an internal site available to FHFC staff. A copy

of the report and response are also sent to the Florida Housing Coalition for its review and possible technical assistance follow up.

3. In some cases, local governments will be required to work with a technical assistance advisor to assist in complying with the necessary steps to correct the issues. If it is determined that the local government created the problems through a lack of management oversight, the corporation may request that the local government pay the fees of the technical assistance advisor directly.

4. When the issues cannot be resolved through corrective action or technical assistance, the local government's funds may be suspended until such time that the local government is able to prove that systems and policies are in place to prevent the issue from occurring again.

8-D File Management and Record Retention

1. Records must be retained in hard copy or electronic form. The standards used must comply with the Florida Administrative Code. Each City or County Clerk will have a record retention policy and will be able to provide you with guidance on local record retention requirements. Remember that your local government may have stricter record retention requirements than the State.

2. A separate file should be maintained for each applicant, regardless of whether the request was approved or denied. It is critical to overall program accountability that there be sufficient and legible documentation. Documents within the digital file should be organized systematically. For instance, one folder could hold the household's income eligibility information, one folder can hold legal documents such as contracts and security agreements, and another folder may be designated for information on the unit, such as appraisals, property tax records, and information on construction and rehabilitation. The documentation should be easily accessible/searchable.

3. Record Retention: As per the Florida Department of State, local governments are required to retain an applicant's records and other relevant documentation for (5) five fiscal years after funds have been expended and accounted for and/or satisfaction of loans, whichever is later, provided applicable audits have been released. If the applicant receives 2025/2026 funds, for example, the close out date for that allocation year is June 30, 2028. Records must be kept for five years from this date–until June 30, 2033, or for five years after the loan has been satisfied, whichever is later. Housing records of this type include, but are not limited to applications; program and set-aside records; housing agreements; income verifications and other records required by s. 420.907-9079, F.S., and Rule 67-37, F.A.C.

4. For more information, see "The General Schedule for Local Governments GS1-L" located at the Florida Department of State's web site www.dos.state.fl.us Click on the link for "Library and Info. Services."

5. The minimum requirements for documentation of award depend upon the type of assistance awarded and the funding sources. For instance, units that have received rehabilitation require documentation that is fairly extensive for all aspects of the

construction process. Awards for purchase assistance will need to have copies of the first mortgage loan closing documents, purchase contract and a signed HUD 1 settlement statement or Closing Disclosure Statement. The signed HUD 1 or Closing Disclosure Statement should clearly state the funding sources of the assistance being provided. There are homebuyers that receive assistance from several funding sources. The signed HUD 1 or Closing Disclosure Statement will identify the funding sources as SHIP, HOME, CDBG, Bond or any other assistance that is provided.

6. Every file should contain a section of notes and a file checklist, which tracks the efforts and progress of obtaining necessary documents. The checklist is a useful tool for all persons who must have access to the file. However, this checklist may be modified to accommodate a local government's need for additional documentation.

7. Sponsor-developers who are awarded funds have the responsibility for maintaining clear and accurate files on project recipients and activities. The local government should monitor the sponsor-developers files on a regular basis to ensure that all information is collected that will be needed for reporting. The local government housing administrator should also review the file documentation to ensure that assistance is awarded to eligible persons and that all project activities conform to program requirements.

8. Remember that even when a sponsor developer is used, the SHIP jurisdiction is ultimately responsible for program compliance. It is a good idea to require sponsor/developers to attend SHIP training and workshops so that they can carry out the program in accordance with the statutory requirements.

8-E Monitoring Preparation

1. When preparing for a compliance monitoring visit, housing administrators should review all applicant and program files for completeness of documentation.
    a. Special attention should be given to ensure that the income eligibility documentation is mathematically accurate and legible.
    b. All files should be orderly and systematically organized.
    c. All financial information relevant to the transaction should be easily found, and the files should have copies of invoices and proof of payment.
    d. All requested files should be provided in electronic format as instructed by Florida Housing staff by the due date.

8-F Tracking and Reporting

1. The SHIP Rule requires that each SHIP jurisdiction "develop a tracking system to ensure that the local housing distribution funds disbursed from the local housing assistance trust fund are at all times expended in accordance with the set-aside requirements." Program income and recaptured funds from loan repayments, reimbursements, foreclosure and other re-payments and interest earned on funds deposited in the trust account must be systematically tracked.

2. A community that does not properly track SHIP funds will be determined to be in non-compliance with SHIP requirements. SHIP communities are required to track funds

that they administer and those that are administered under an agreement by a sub-recipient or a sponsor-developer.

3. Income must be tracked for all qualified applicants. The administrator must also collect demographic information on each applicant to be included in the SHIP annual report.

4. Other required information includes the value and types of assisted units and the amount of funds used in assisting each unit. Many communities have developed a case summary form that is used to enter this information into the tracking and then maintained in the file.

5. The automated tracking system developed for the SHIP program can be a useful tool for maintaining encumbrance, expenditure, and demographic information. Input fields of the system include all of the information needed for completion of the SHIP Annual Reports (due annually on September 15). By entering the information on a regular basis, the annual reporting process becomes substantially less cumbersome. A copy of the most current SHIP tracking report can be found at: http://www.floridahousing.org/programs/special-programs/ship---state-housing-initiatives-partnership-program/ship-annual-report

6. The tracking system also keeps running totals for the statutorily mandated income, homeownership and construction set asides, enabling the program administrator to spot potentially problematic trends.

7. The SHIP program has defined eligible administrative expenses within the Rule (see 67-37.007 “Uses of and Restrictions upon SHIP Local Housing Distribution Funds for Local Housing Assistance Plans”). Generally speaking, administrative costs may include salaries and benefits for housing personnel, training and travel related expenses for increasing the capacity of the local program staff, and office expenses and overhead that are directly related to operating the local housing program.

8. The tracking system and the annual reports generated by each SHIP jurisdiction must comply with the requirements of Florida’s Single Audit Act (SAA). SHIP administrators, therefore, are required to regularly reconcile their tracking system with the local finance department’s general ledger.

Section Nine
Income and Rent/Purchase Price Limits

9-A Income Limits

1. Income limits are based on each Metropolitan Statistical Area (MSA) and adjusted for household size (number of residents in a home).

2. The current and past years income limits can be found at: http://www.floridahousing.org/owners-and-managers/compliance/income-limits

9-B Rent Limits

1. Rent limits for each county can be found at: http://www.floridahousing.org/owners-and-managers/compliance/rent-limits

9-C Purchase Price Limits

1. Purchase Price Limits are established based on 90% of the U.S. Treasury limit and are adjusted for each MSA. Local HFA established limits can also be used.

2. Purchase Price Limits can be found at: http://www.floridahousing.org/programs/special-programs/ship---state-housing-initiatives-partnership-program/purchase-price-limits

Section Ten
Disaster Recovery

10-A Disaster Declarations

1. SHIP has often been vital in providing local communities affected by Federal or State declared disasters with funding for short- and long-term housing recovery. These funds can be allocated from an annual set-aside of up to $5 million that Florida Housing holds back from the statewide distribution of funds (in years when SHIP is fully funded) or from special allocations, such as the Hurricane Housing Recovery Program, or funds from the Legislature.

   When a disaster is declared, affected SHIP local governments:

   a. May activate their disaster recovery strategies in their approved LHAPs or choose to utilize the disaster strategy incorporated in the SHIP program rule.
   b. May also undertake any additional activities approved through the Executive Order or any accompanying Supplemental Orders issued at the state level.

2. If Florida Housing has funding available to allocate to affected local governments:

   a. Florida Housing will determine the amount to be allocated to all affected counties and cities (if included). This will include collection and analysis of data from FEMA, Florida DEM, and local SHIP offices related to data on damage.
   b. Once the allocation amounts are determined, local governments will be notified of:
      i. The amount of the allocation which may take into account unencumbered funds currently held at the local level.
      ii. Any special restrictions or permissions for expending the funds.
      iii. Deadlines for encumbering and expending funds.
   c. Local governments may then request funding from Florida Housing. The request, required by program guidelines, may include:
      i. A formal letter from the chief elected official detailing the amount and purpose of the request.
      ii. Evidence of the amount of current SHIP funds that are encumbered.
      iii. A list of strategies that will be employed (must be approved as part of the disaster strategy or allowed by the Executive Order or Supplemental Order).
      iv. Agreement with the timeline for the expenditure of funds set by Florida Housing for the disaster.

3. Once Florida Housing has verified the submitted documentation and determined the need for the disaster recovery funding, funds are made available to be allocated and disbursed to any LG determined eligible for disaster funding. Any funds not expended by the approved expenditure deadline will be recaptured by Florida Housing for future disaster needs.

4. Funds designated for disaster recovery not expended in the fiscal year are disbursed to all eligible local governments on a population basis according to statutory guidelines.

Section Eleven
Complaints and Inquiries

Florida Housing SHIP program staff or the Office of Inspector General occasionally receive complaints and inquiries regarding the SHIP program. These complaints/inquiries may come to Florida Housing from:

1. A program applicant or participant (potential or rejected)
2. An elected official (state or local)
3. The Office of the Governor
4. A social service provider or state agency
5. A media outlet

11-A Complaints

1. Complaints from homeowners, whether they come to Florida Housing directly from the homeowner or one of the other sources listed above, generally center around a homeowner's dissatisfaction with:
   a. The quality of work being performed in rehabilitation of their home
   b. The performance/attitude of the contractor performing the work
   c. Work items that are not being included in the rehabilitation
   d. The length of time taken to complete the work

2. When these complaints are submitted, any or all of the following steps may be followed by SHIP Program staff:
   a. Speak to the homeowner to hear his/her side of the complaint.
   b. Contact the local government to discuss the issue and request any documents, timelines, etc. related to the complaint.
   c. Evaluate any submitted documents.
   d. Contact internal staff as necessary. This may include: Inspector General, General Counsel, Compliance, or Communications.
   e. Follow up with homeowner, and other involved parties as needed, via letter, e-mail or phone to explain the determination of Florida Housing.

3. These situations often go on at great length as the homeowner does not understand or agree on the role of Florida Housing, the nature of the contract they signed with the local government or other factors of miscommunication.

11-B Inquiries

1. Florida Housing receives a number of inquiries from various sources (those listed above as well as industry representatives and other interested parties). These inquiries may be related to the regulations of the program or specific to how a particular local government administers their program. These inquiries can often be handled quickly via phone or e-mail, but others need input from other staff prior to responding.

2. This may be a request for specific program data which can be gathered by SHIP staff and provided as appropriate. If the request is submitted as a public records request (PRR), it will be handled by the Corporation Clerk and no new documents will be created.

Section Twelve
Frequently Asked Questions

Q: Do I have to advertise if the city later funds a strategy that is currently unfunded, like our disaster strategy?

A: Yes, you should advertise. When you first advertise upon receiving your new SHIP allocation in July, you can advertise that the city has a disaster strategy that will be funded pending a disaster or need. This will fulfill the requirement in Florida Statutes: "The county or eligible municipality or its administrative representative shall advertise the notice of funding availability in a newspaper of general circulation and periodicals serving ethnic and diverse neighborhoods, at least 30 days before the beginning of the application period. If no funding is available due to a waiting list, no notice of funding availability is required." Section 420.9075 (3) (b) Florida Statutes.

However, even in this case, you might still want to further advertise and inform your community about the disaster strategy once a disaster occurs.

Q: May I advertise for my next year's funds in May, in order to take applications in June and then provide assistance on July 1 when I receive more funds from the next allocation year?

A: Yes you may. The advertisement requirements are outlined in the Statute and in greater detail in the Rule: 67-37.005 (6) (a).

Q: How does the Sunshine Law apply to our SHIP advisory committee?

A: When dealing with an advisory committee it is very important to keep in mind the requirements of Florida's open meetings laws. Any Board of County Commission appointed committee that is part of a fact finding commission, or any board or committee that has final decision making authority is covered by these laws. There is a strong legislative and judicial presumption in favor of openness. If you have any questions about these requirements, consult with your city attorney, county attorney, or other appropriate legal counsel.

Q: Does Florida’s Open Records law include an exemption for documents associated with individuals receiving SHIP housing assistance?

A: No, SHIP housing files are not exempt from the Florida Open Records law. However, the law provides for a very limited exemption of certain information that may be included in the files of your housing assistance applicants. Chapter 119 of the Florida Statutes outlines what is commonly referred to as the open records law. The law is stated most directly in section 119.07.

Q: Is the installation of central air conditioning an eligible SHIP expense?

A: Yes. In most parts of Florida air conditioning is a necessity for the health and safety of the occupants living in the units. Previous experience with housing programs that do not allow for the installation of air conditioning has shown that people will find a way to cool their home. This often means the purchase of very old, very inefficient window units. These window air conditioners can greatly increase a family's monthly utility bills, drastically reducing a family's ability to meet their other monthly bills.

Q: Can SHIP funds be used for demolition and site clearance?

A: Yes, as long as an eligible unit which serves an eligible household is put on the site.

Q: Can SHIP funds be used to pay for a shortage in the escrow account for a homebuyer?

A: SHIP funds can be used to pay for any and all costs associated with closing, unless otherwise specified in the LHAP. Since the closing has already occurred, it would be difficult to award these funds without another closing. Minimum escrow balances are mandated by Federal laws and/or the mortgage agreements. Since the lender made the error, you should encourage the homeowner to negotiate a more reasonable amount for escrow. Since the increased monthly mortgage payment may result in putting the homeowner in a potential default position on the first mortgage, the lender should be agreeable to alternative arrangements.

Q: Can I help an applicant more than once with the SHIP program?

A: There is nothing in the SHIP rule or statute that specifically addresses this issue. It is a local policy decision. Many local communities have added a provision to their Local Housing Assistance Plans noting that an applicant cannot be assisted more than once with the SHIP program. If only one-time assistance is available, however, it is important to consider if the SHIP assistance provided is thorough and fully addresses an applicant's needs. If an applicant purchases an existing home, for example, are there resources available to make needed repairs, or will the applicant be back soon to apply for assistance from your rehabilitation strategy? Similarly, when providing rehabilitation services, review the initial home inspection and consider whether repair priorities—including health hazard concerns, code violations, upgrading of electrical systems, and even energy efficiency—can be addressed with one-time assistance. It should also be considered if assistance under the disaster strategy should be an exemption to the one-time assistance determination.

Q: Funds have been encumbered for housing rehabilitation, but not completely spent. The housing activity is not complete. Are the funds expended?

A: No, funds remain encumbered until the rehabilitation activities are completed, the work inspected, the contractor paid, and the unit occupied by an eligible person. Refer to the definition of "expenditure" in the SHIP Rule, 67-37.002 (8), which notes that funds are considered expended "when the project is completed as evidenced by documentation of final payment to the contractor and release of all lien waivers, issuance of the certificate

of occupancy by the local building department, and occupancy by an eligible person or eligible household."

Q: What are the time limits on expenditure of interest earned on our local trust fund account?

A: Interest earned falls under the same time limits as all other SHIP funds. The interest earned must be spent within 24 months from the end of the applicable State fiscal year in which the interest was earned. The "applicable State fiscal year" is determined by when the interest was earned. For example, interest earned during the 2024/2025 state fiscal year must be expended by June 30, 2027, which is the expenditure deadline for all 24/25 funds.

Q: My jurisdiction has not yet expended all the funds in the close out distribution. How do I request an extension for turning in my annual reports after September 15, so we can finish expending funds?

A: There is no available extension for submitting the annual report, which must be turned in on or before September 15th. By this date, you must turn in a report that illustrates that your jurisdiction has not yet finished expending funds. You can, however, request an extension to your expenditure deadline for your close out distribution.

First, recognize that it is common to have a small amount of unspent SHIP funds from a close out distribution; this is not a violation of the expenditure deadline. Whether the amount is $300 or $3000, this small, unencumbered amount is insufficient to fully assist the next recipient for any of your strategies. In such a case, you may simply "carry forward" these remaining dollars. The Web Annual Report identifies these unencumbered funds as the carry forward amount and automatically adds this amount as the carry forward revenue on the close out report.

If your jurisdiction has tens or hundreds of thousands of SHIP dollars left to spend, this is not considered carry forward funds. Instead, you have exceeded the expenditure deadline and should request an expenditure deadline extension from the Florida Housing Finance Corporation SHIP Program Staff. This e-mail request should include:

1. The exact amount of funds still encumbered and/or unencumbered, and the number of months for which an extension is requested.
2. A brief explanation of why these funds have not been expended within the three year deadline. Was there, for example, a lack of contractors or materials, or is the jurisdiction still working to achieve some set-aside compliance?
3. Outline your plan to expend funds quickly, along with a timeline and estimate of when the funds will be fully expended. Indicate if changes have been made to SHIP strategies to address the delays. If a strategy has not been working, have you redesigned it, replaced it, or reallocated funds to a strategy known to be successful?

Q: Please explain: "First Dollar In, First Dollar Out?"

A: The SHIP rule requires that all program funds be spent within 24 months from the end of the applicable State fiscal year. Exceptions to this are very limited. Many communities have Housing Assistance Plans that continue the same strategies from year to year. In these instances, SHIP administrators should consider spending all of the money in a given strategy from a given year before moving on to the subsequent years' funds allocated to that strategy.

Q; How does the SHIP Rule define first-time homebuyer? Also, may a person who currently owns a mobile home but is requesting assistance to replace the mobile home be counted as a first-time homebuyer?

A: The SHIP Rule does not define first-time homebuyer, but leaves that definition up to each local jurisdiction. The Federal Mortgage Revenue Bond program defines a first-time homebuyer as someone who has not owned a home for the last three years. This definition can be used as a guide. Several programs also include displaced homemakers as eligible first time buyers. Many communities have targeted mobile homes for replacement, and allow assistance to mobile home owners under their definition of first-time homebuyer.

Q: At what point in the process of rehabilitating a house should I place a security instrument on the homeowner's property?

A: As a best business practice, secure the property prior to starting rehabilitation. This is the same practice that any home improvement contractor would follow. It prohibits the home owner from selling his or her house while construction is in process without resolving the debt incurred using public funds. Before your contractor starts repairs, have the home owner sign a security agreement for the amount of the contractor's bid. To be fair to the home owner and to be mindful of careful spending of public funds, always file an updated security instrument when the final cost of repairs is actually less than initially anticipated. In some instances, however, change orders will increase the final cost of the rehabilitation. You can choose to file an updated security instrument that accurately records the larger repair amount, especially if the additional amount is several hundred dollars or more. You can, however, choose to simply leave the original security instrument in place and provide the extra SHIP funds in the form of a grant. (This is a different policy than federal programs like CDBG or HOME, which require the security instrument to accurately document the final cost of repairs).

Q: My community's SHIP second mortgage states that if the property is sold, refinanced, or transferred, the owner or estate must repay the entire amount of the loan. There is nothing specific about paying off the loan at the end of 30 years, however. If one of our homebuyers lived in a home for 30 years and paid off the first mortgage, does he or she have to pay back the funds borrowed from SHIP?

A: Section 95.281(1) (b), F.S., states that a lien without a specified term automatically terminates after 20 years, unless it is renewed by the lien holder. In this case, the lien had

no term and was not renewed after 20 years. Therefore, no SHIP assistance would be repaid.

Q: An applicant has asked me if the SHIP assistance she receives is considered taxable income that must be reported on her income taxes.

A: The Florida Housing Finance Corporation (FHFC) has indicated that SHIP assistance would not be considered income. This is based on a similar issue regarding the pilot program using Section 8 funds to help pay for a mortgage. The FHFC compliance office concluded that this Section 8 assistance is not income since the Section 8 program placed a deferred payment loan lien on the recipient's house. Similarly, your SHIP funds are provided as a deferred payment loan. In addition, the legal counsel at the FHFC issued a legal opinion memorandum in 1997 indicating that SHIP assistance is not taxable income. "Because SHIP funds are analogous to a gift rather than a quid pro quo, they can be characterized as general welfare or welfare assistance payments. As such, they are not includible in the recipient's income and local governments need not file Form 1099-C's".

Q: Should documentary stamps and intangible taxes be paid on the SHIP second mortgage when assisting a home buyer?

A: Documentary stamps must be paid on SHIP second mortgages. However, intangible taxes do not have to be paid on SHIP second mortgages.

Q: What are the responsibilities of the local jurisdiction when a qualified sponsor is utilized for performing eligible SHIP activities?

A: The local jurisdiction has ultimate responsibility in assuring that all program requirements are met. Rule 9I-37.002(15) defines an eligible sponsor as a person or private or public for-profit or not-for-profit entity that applies for an award under the Local Housing Assistance Plan for the purpose of providing eligible housing for eligible persons. A qualified sponsor who receives an award from the local SHIP program is required to contractually commit to the local jurisdiction that it will comply with all SHIP requirements, and it is the local jurisdiction's responsibility to ensure that the sponsor follow all state and local program requirements.

The local jurisdiction must have a system in place which ensures that all applicant files are complete and that the income verifications and certifications are in order, that there is adequate documentation to support expenditures for work performed, and that all SHIP funds are encumbered and expended in accordance with the deadlines as stated in the SHIP Rule.

Q: Is there a limit to the number of amendments a local jurisdiction may file and does the time frame for filing an amendment to a Local Housing Assistance Plan (LHAP) ever expire?

A: No. There is no limit to the number of amendments a local jurisdiction may file. Amendments to an approved LHAP must be adopted by local government resolution and a copy submitted to the FHFC's Review Committee within 21 days after adoption by the local government. A local jurisdiction may amend its LHAP at any time if it is determined

that a strategy will not be used, or when adding another strategy. Note: an amendment is not necessary when shifting funds between approved strategies in the LHAP, but a copy of the new Housing Delivery Goals Chart reflecting the changes should be submitted to the corporation.

Q: When are funds considered recaptured?

A: Funds are considered recaptured when no eligible unit has been produced. Scheduled repayment of a loan, foreclosure, or sale of a home is Program Income, and should not be considered Recaptured.

Section Thirteen
Acronyms

Acronym	Meaning
AFCR	**Annual Financial Consolidated Report**
AGI	**Annual Gross Income**
AHCP	**Affordable Housing Catalyst Program (Catalyst)**
AMI	**Annual Median Income**
AR	**Annual Report**
CBO	**Community Based Organization**
CDBG	**Community Development Block Grant**
DEM	**Department of Emergency Management (Florida)**
FEMA	**Federal Emergency Management Agency**
HDGC	**Housing Development Goals Chart**
LG	**Local Government**
LHAP	**Local Housing Assistance Plan**
MSA	**Metropolitan Statistical Area**
NOFA	**Notice of Funding Availability**
SHIP	**State Housing Initiatives Partnership**
TA	**Technical Assistance**
TAP	**Technical Assistance Provider**

Appendix A
Applicant Qualification

This appendix offers guidance about eligibility determination and the documentation of income, assets and other household details. The guidance pertains to the Section 8 income definition that is commonly used by SHIP administrators. However, SHIP allows for several methods of defining income, which are listed in Section 420.9071 of the Florida Statutes: *"Annual gross income" means annual income as defined under the Section 8 housing assistance payments programs in 24 C.F.R. part 5; annual income as reported under the census long form for the recent available decennial census; or adjusted gross income as defined for purposes of reporting under Internal Revenue Service Form 1040 for individual federal annual income tax purposes or as defined by standard practices used in the lending industry as detailed in the local housing assistance plan and approved by the corporation.*

Those who administer SHIP using an alternative income definition may need to contact the Florida Housing Coalition for guidance specific to that alternative income definition.

A. Determining Household Size

Even before beginning to count the household's income, it is important to properly count the number of people in the household. It is essential to accurately determine household size, since program eligibility is "adjusted for family size" (as defined in Section 420.9071 (1) of the Florida Statutes). The median income is based on a four-person household. The income eligibility level is lower for households having fewer than four people, and higher for households with more than four people.

- An eligible household is comprised of one or more natural persons determined by the county or eligible municipality to be of very low income, low income or moderate income according to the income limits adjusted for family size. The HUD Handbook 4350.3 Chapter 3 Section 3-6 (E) outlines several scenarios and provides guidance on whether or not to count an individual as a household member. Whenever the handbook indicates that an individual is a household member, the individual's full income must be included in annual income:

    a. **Temporarily absent family members** are still considered family members. For example, an administrator may consider a family member who is working in another state on assignment or who is on active military duty to be temporarily absent.

    b. The HUD Handbook outlines how to address a **family member who is permanently confined to a hospital or nursing home.** In this situation only, the family may choose to either include the absentee individual and thus his or her income, or exclude the absentee individual and his or her income. Individuals who are temporarily in a hospital or rehabilitation center are household members.

c. Do not count individuals as **household members if they are scheduled to be incarcerated** during all of the next 12 months. Document in the applicant's file the length of time that these individuals are scheduled to be incarcerated. In Florida's prisons, information on the incarceration status of an individual and the person's anticipated date of release is public information. Obtain this information on the Internet at the Department of Corrections' website: www.dc.state.fl.us.

d. Florida law does not legally recognize **marital separation**. Furthermore, unless legally divorced, Florida's joint property laws will likely entitle the estranged spouse to legal claim of ownership of any house that the applicant purchases, and most lending institutions will require the spouse to sign the mortgage. When an applicant is married and separated, count the estranged spouse as part of the household unless it is possible to properly document that the separation is permanent. In some situations, it seems clear that the applicant has no plan to reunite with the estranged spouse. The local housing administrator may make a determination about a permanent separation and should obtain supporting documents and include them in the SHIP recipient's file. In cases of permanent separation, the applicant and the estranged spouse maintain separate residences and file separate tax returns.

e. **Unborn children** of pregnant women are considered household members.

f. The Compliance Office of the Florida Housing Finance Corporation has determined that any individual that is anticipated to be married (**fiancé**) to a household member in the future is not counted as a household member unless the marriage occurs before SHIP assistance is provided. A future marriage is an anticipated event, but not verifiable. Therefore, the fiancé cannot be counted as part of the household. There are two exceptions to this policy:
    i. Count the fiancé if his or her income is provided to a first mortgage lender to qualify the household to purchase a home.
    ii. Count the fiancés as a household member including his or her income if he or she currently dwells within the household.

g. **Foster children or foster adults** are not counted as family members. The Housing Opportunity Through Modernization Act established definitions for "foster adult" and "foster child." Foster adults/children are not considered **family** members and must not be included in calculations of income eligibility and rent determination purposes. However, foster adults/children are considered **household** members and must be included when determining unit size or subsidy standards based on established policies. Consistent with the determination that foster adults/children are not family members, income earned by foster adults/children, payments received for the care of foster adults/children, and expenses incurred related to foster adults/children are not considered to be family income or family expenses used in the determination of annual income.

h. The HUD Handbook instructs administrators to count as household member's **children in joint custody** arrangements who are present in the household 50% or more of the time. Properly document this custody with school records, court

documents, income taxes or other records that indicate that the child's permanent address is with the applicant.

i. An applicant's children who are **away in college or school** should be counted as household members if they live with the family during school recesses. Do not count children who are away at school who have established residency at another address or location as evidenced by a lease agreement. The new address or location is considered the student's principle place of residence.

j. **Live-in Aides** are not counted as family members but are counted as household members. A live-in aide must be considered for bedroom size requirements, but their income and expenses would not be included for the purposes of income eligibility and assistance levels. An aide is a person who resides with one or more elderly persons, near-elderly persons, or persons with disabilities, and who is 1) determined to be essential to the care and well-being of the person; 2) is not obligated for the support of the person; and 3) would not be living in the unit except to provide the necessary supportive services. A relative may be considered to be a live-in aide, but must meet the above requirements.

k. Some family members in the household may be currently **unemployed.** Include any source of income that they do provide, including unemployment compensation. It is not necessary to fill out an "affidavit of unemployment" or similar form which indicates that a job is being sought. Sufficient documentation of the unemployed adult is included on the applicant's signed application. Simply remind the individual to let you know if a job is obtained before SHIP assistance is provided.

l. Some households include an individual renting a room. Tenants are not household members, while roommates are. Roommates share household expenses, while a tenant is an individual who has signed a rental agreement/lease with the homeowner. The tenant is not considered a household member, and his or her income is not aggregated with that of the other members. The rent paid to the homeowner by the tenant would be counted as income of the homeowner. This scenario is not found in the HUD 4350.3 publication because Section 8 tenants are not permitted to rent out rooms in their assisted apartments.

B. Income Qualification

1. The SHIP Statute defines "annual gross income" in a fashion that provides local governments with the flexibility of determining annual income using one of four definitions. While each of these definitions shares similarities, there are slight variations in the methodologies:

    a. Most common: "Annual income" as defined in Title 24 of the Code of Federal Regulations section 5.609 (commonly referred to as 24 CFR Part 5); or

    b. Annual income as reported under the Census long-form for the most recent available decennial Census; or

c. Adjusted gross income as defined for purposes of reporting under Internal Revenue Service (IRS) Form 1040 series for individual federal annual income tax purposes: or

d. Adjusted gross income as defined by standard practices used in the lending industry as detailed in the local housing assistance plan and approved by the corporation.

- Annual income includes income from members currently in or intending to reside in the household. This Appendix will define and discuss income issues according to the most commonly used definition for annual income, defined under HUD 24 CFR Section 5.609 (See below). According to this source, income means all amounts, monetary or not, which:
  a. Are received by or paid on behalf of the family head or spouse, even if temporarily absent from the unit, or to any other family member; and/or
  b. Are anticipated to be received from a source outside the family during the 12-month period following admission or annual reexamination effective date; and
  c. Are derived (during the next 12-month period) from assets to which any member of the family has access; and
  d. Are not specifically excluded (as stated on the income inclusion and exclusion section).

- To annualize full-time employment*,* multiply the type of wage by the following periodic amounts:
  a. Hourly wages by 2,080 hours;
  b. Weekly wages by 52;
  c. Bi-weekly (every two weeks) amounts by 26;
  d. Semimonthly (every half month) amounts by 24; or,
  e. Monthly amounts by 12.

- To annualize income from anything other than full-time employment, multiply:
  a. Hourly wages times the number of hours the household expects to work annually; or,
  b. Average weekly wages times the number of weeks the household expects to work; or,
  c. Other periodic amounts (monthly, bi-weekly, etc.) by the number of periods a household member expects to work.

- Annual wages should always reflect the entire 12-month period, regardless of the pay schedule. For example: a teacher is paid $25,000 per year. Use the $25,000 figure whether the payment is made in 12 monthly installments, nine installments or some other payment schedule.

- Always use current circumstances to project income, unless verification forms indicate that an imminent change will occur over the course of the 12-month period.

C. Definitions

Annual Income as Defined in Title 24 CRF Part 5
Regulations: 24 CFR §§ 5.609(a)(1)–(a)(2); and 891.105

Annual income includes all amounts received from all sources by each member of the family who is 18 years of age or older, the head of household, or spouse of the head of household, in addition to unearned income received by or on behalf of each dependent who is under 18 years of age. Annual income does not include amounts specifically excluded in paragraph (b) of 24 CFR § 5.609. All amounts received by the head of household, co-head, or spouse, including the income of a day laborer, independent contractor, and seasonal worker (see definitions below) are included in annual income regardless of age, unless otherwise excluded in paragraph (b) of 24 CFR § 5.609.

Note: Annual income includes "**all amounts received**," not the amount that a family may be legally entitled to receive but did not. For example, a family's child-support or alimony income must be based on payments received, not the amounts the family is entitled to receive based on any court or agency order. A copy of a court order or other written payment agreement alone may not be sufficient verification of amounts received by a family. However, when a family member's wages or benefits are garnished, levied, or withheld to pay restitution, child support, tax debt, student loan debt, or other applicable debts, the gross amount of the income, prior to the reduction, must be used to determine a family's annual income.

Annual income also includes all actual anticipated income from assets even if the asset is excluded from net family assets but the income from the asset is not otherwise excluded. Imputed returns on net family assets are included in annual income only when net family assets exceed $51,600 (a figure that is annually adjusted for inflation) and actual asset income cannot be calculated for all assets (see below for a discussion of scenarios where income can be calculated for some but not all assets). Imputed income from assets will not be calculated if the total value of net family assets is equal to or less than $51,600 (as adjusted by inflation).

Earned Income
Regulation: 24 CFR § 5.100

Earned Income is defined as income or earnings from wages, tips, salaries, other employee compensation, and net income from self-employment. Earned income does not include any pension or annuity, transfer payments (meaning payments made or income received in which no goods or services are being paid for, such as welfare assistance, Social Security, and other governmental subsidies/benefits), or any cash or in-kind benefits.

Definition of Day Laborer
Regulation: 24 CFR § 5.603(b)

A day laborer is defined as an individual hired and paid one day at a time without an agreement that the individual will be hired or work again in the future.

Income earned as a day laborer is not considered nonrecurring income under 24 CFR §5.609(b)(24) (see Income Exclusions, Nonrecurring Income section below) and must be included, unless specifically excluded in 24 CFR § 5.609(b) (e.g., earnings of full-time students in excess of the dependent deduction (24 CFR §§ 5.609(b)(3), (b)(14), etc.).

Definition of Independent Contractor
Regulation: 24 CFR § 5.603(b)

An independent contractor is an individual who qualifies as an independent contractor instead of an employee in accordance with the Internal Revenue Code federal income tax requirements and whose earnings are consequently subject to the self-employment tax. In general, an individual is an independent contractor if they have the right to control or direct only the conduct of the work. For example, while instructions and route information are generally provided, third-party delivery and transportation service providers are considered independent contractors unless state law dictates otherwise. In addition, individuals considered "gig workers," such as babysitters, landscapers, rideshare drivers, and house cleaners, typically fall into the category of independent contractor. Income earned as an independent contractor is not considered nonrecurring income (see Income Exclusions, Nonrecurring Income section below) and must be included unless specifically excluded in 24 CFR § 5.609(b) (e.g., 24 CFR §§ 5.609(b)(3), (b)(14), etc.).

Definition of Seasonal Worker
Regulation: 24 CFR § 5.603(b)

A seasonal worker is defined as an individual who is: 1) hired into a short-term position (e.g., for which the customary employment period for the position is 6 months or fewer); and 2) the employment begins about the same time each year (such as summer or winter). Typically, the individual is hired to address seasonal demands that arise for the employer or industry.

Some examples of seasonal work include employment limited to holidays or agricultural seasons. Seasonal work may include but is not limited to employment as a lifeguard, ballpark vendor, or snowplow driver.

Income earned as a seasonal worker is not considered nonrecurring income (see Income Exclusions, Nonrecurring Income section below) and must be included unless specifically excluded in 24 CFR § 5.609(b) (e.g., § 5.609(b)(14), etc.).

Definition of Unearned Income
Regulation: 24 CFR § 5.100

Unearned income means any annual income, as calculated under 24 CFR§ 5.609, that is not earned income.

Income Exclusions
Regulations
24 CFR §§ 5.609(b)(4)–(5); 5.609(b)(7)–(10); 5.609(b)(14)–(15); 5.609(b)(17); 5.609(b)(19)–(24); 5.609(b)(24)(i)–(vii); 5.609(b)(25); 5.609(b)(27)–(28); 5.611; 891.105 and 891.655

Nonrecurring Income
Regulation: 24 CFR §§ 5.609(b)(24) and CFR 891.105

The nonrecurring income exclusion replaces the former exclusion for temporary, nonrecurring, and sporadic income (including gifts), but it provides a narrower definition of excluded income in contrast to the former broad exclusion of temporary, nonrecurring, or sporadic income.

Income that will not be repeated beyond the coming year (i.e., the 12 months following the effective date of the certification), based on information provided by the family, is considered nonrecurring income and is excluded from annual income. However, income received as an independent contractor, day laborer, or seasonal worker is not excluded from income under §5.609(b)(24), even if the source, date, or amount of the income varies.

Income amounts excluded under this category may include, but are not limited to, nonrecurring payments made to the family or to a third party on behalf of the family to assist with utilities, eviction prevention, security deposits to secure housing, payments for participation in research studies depending on the duration, and general one-time payments received by or on behalf of the family.

The following list of exclusions is codified at 24 CFR § 5.609(b)(24) as nonrecurring income. Please note that the list is not exhaustive:

- Payments from the U.S. Census Bureau for employment lasting no longer than 180 days and not culminating in permanent employment.
- Direct federal or state economic stimulus payments.
- Amounts directly received by the family as a result of state refundable tax credits or state tax refunds at the time they are received.
- Amounts directly received by the family as a result of federal refundable tax credits or federal tax refunds at the time they are received.
- Gifts for holidays, birthdays, or other significant life events or milestones (e.g., wedding, baby shower, or anniversary gifts).
- In-kind donations (e.g., food, clothing, or toiletries received from a food bank or similar organization); and
- Lump-sum additions to net family assets (e.g., lottery winnings, contest winnings, etc.).

SHIP administrators may accept a self-certification from the family stating that the income will not be repeated in the coming year.

Other Income Exclusions

Income Source	Regulation
• Income Earned on Amounts Placed in a Family's Family Self Sufficiency (FSS) Account	Regulation: 24 CFR § 5.609(b)(27)
• Income of Live-in Aides, Foster Children, and Foster Adults	Regulation: 24 CFR § 5.609(b)(8)
• Payments Received for the Care of Foster Children or Foster Adults or State or Tribal Kinship or Guardianship Care Payments	Regulation: 24 CFR § 5.609(b)(4)
• Insurance Payments or Settlements	Regulation: 24 CFR § 5.609(b)(5)
• Civil Action Recoveries or Settlements	Regulation: 24 CFR § 5.609(b)(7)
• Earned Income of Dependent Full-Time students	Regulation: 24 CFR § 5.609(b)(14)
• Adoption Assistance Payments	Regulation: 24 CFR § 5.609(b)(15)
• Veterans Regular Aid and Attendance	Regulation: 24 CFR § 5.609(b)(17)
• Home-Based Care Payments for a Family Member(s) with a Disability(ies)	Regulation: 24 CFR § 5.609(b)(19)
• Loan Proceeds	Regulation: 24 CFR § 5.609(b)(20)
• Certain Payments Received by Tribal Members	Regulation: 24 CFR § 5.609(b)(21)
• Exclusions from Other Federal Statutes	Regulation: 24 CFR § 5.609(b)(22)
• Replacement Housing Gap Payments	Regulation: 24 CFR § 5.609(b)(23)
• Student Financial Assistance	Regulation: 24 CFR § 5.609(b)(9)
• Achieving a Better Life Experience (ABLE) Accounts	Regulation: 24 CFR § 5.609(b)(22)
• Income and Distributions from Coverdell Education Savings Accounts, 529 Accounts and "Baby Bond" Accounts	Regulation: 24 CFR § 5.609(b)(10)
• Gross Income from Self-Employment or Operation of a Business	Regulation: 24 CFR §§ 5.609(b)(24) and 5.609(b)(28)
• Civil Rights Settlements or Judgments	Regulation: 24 CFR § 5.609(b)(25)

Income of Live-in Aides, Foster Children, and Foster Adults
Regulation: 24 CFR § 5.609(b)(8)

Income of a live-in aide, foster child, or foster adult as defined in 24 CFR §§ 5.403 and 5.603 is excluded from the family's calculation of annual income.

Payments Received for the Care of Foster Children or Foster Adults or State or Tribal Kinship or Guardianship Care Payments
Regulation: 24 CFR § 5.609(b)(4)

Payments received for the care of foster children or foster adults, or state or Tribal kinship or guardianship care payments, are excluded from annual income.

This income exclusion also applies to Kinship Guardian Assistance Payments (Kin-GAP), kinship care payments, and other state-based kinship or guardianship payments that are alternatives to traditional foster care programs.

Earned Income of Dependent Full-Time students

Regulation: 24 CFR § 5.609(b)(14)

Earned income of dependent full-time students in excess of the amount of the deduction for a dependent in § 5.611 is excluded from annual income. Full-time students must be dependent family members for this exclusion to apply. This exclusion does not apply to the head of household, spouse, or co-head. This means that the first $480 of the income earned by dependent full-time students will be included in the family's calculation of annual income.

The dependent deduction will be adjusted annually in accordance with the (CPI–W).

Exclusions from Other Federal Statutes
Regulation: 24 CFR § 5.609(b)(22)

This exclusion applies to all amounts that HUD is required by federal statute to exclude from annual income. HUD will publish a notice in the Federal Register to identify the benefits that qualify for this exclusion. Updates will be published when necessary.

Student Financial Assistance
Regulation: 24 CFR § 5.609(b)(9)

The treatment of student financial assistance depends on the student/household characteristics, and the type of financial assistance received by the student. The student financial assistance rules apply to both full-time and part-time students.

Amounts Received Under Section 479B of the Higher Education Act (HEA) of 1965, as amended (20 U.S.C. 1087uu)

Section 479B provides that certain types of student financial assistance are to be excluded in determining eligibility for benefits made available through federal, state, or local programs financed with federal funds. The types of financial assistance listed below are considered 479B student financial assistance programs; however, this list is not exhaustive, and 479B will be updated as of July 1, 2024.

- Federal Pell Grants;
- Teach Grants;
- Federal Work Study Programs;
- Federal Perkins Loans;
- Student financial assistance received under the Bureau of Indian Education;
- Higher Education Tribal Grant;
- Tribally Controlled Colleges or Universities Grant Program;
- Employment training program under section 134 of the Workforce Innovation and Opportunity Act (WIOA).

Other Student Financial Assistance

Other student financial assistance includes grants or scholarships received from

the following sources:

- The Federal government;
- A state (including U.S. territories), Tribe, or local government;
- A private foundation registered as a nonprofit under 26 U.S.C. 501(c)(3);
- A business entity (such as a corporation, general partnership, limited liability company, limited partnership, joint venture, business trust, public benefit corporation, or nonprofit entity); or
- An institution of higher education.

Other student financial assistance does not include:

- Financial support provided to the student in the form of a fee for services performed (e.g., a work study or teaching fellowship that is not excluded under section 479B of the Higher Education Act HEA); or
- Gifts, including gifts from family or friends.

Note: Other student financial assistance may be paid directly to the student or to the educational institution on the student's behalf. The PHA/MFH Owner must verify that the other student financial assistance is for the student's actual covered costs.

The treatment of Student Financial Assistance under SHIP is the same as for HUD's Section 8 programs. Any financial assistance (in excess of amounts received for tuition and any other required fees and charges) that an individual receives under the Higher Education Act of 1965 (20 U.S.C. 1001 et seq.), from private sources, or from an institution of higher education (as defined under section 102 of the Higher Education Act of 1965 (20 U.S.C. 1002)), shall be considered income to that individual, except for a person over the age of 23 with dependent children." HUD interprets that "a person over the age of 23" is 24 years old.

Actual covered costs include: tuition, books, supplies (including supplies and equipment to support students with learning disabilities or other disabilities), room and board, and fees required and charged to a student by an institution of higher education (as defined under section 102 of the Higher Education Act of 1965 (20 U.S.C. 1087uu)). For a student who is not the head of household, cohead, or spouse, actual covered costs also include the reasonable and actual costs of housing while attending the institution of higher education and not residing in an assisted unit.

There are two steps required as part of the calculation for Section 8 students, the first of which is to determine the student's relationship to the household, age, and whether they have dependent children; based on the result of the first step, the second step is to calculate whether any excess student financial assistance should be included in the family's income. If the student is the head of household, co-head, or spouse and is 23 or younger or does not have dependent children, then 479B assistance will be part of the total equation. If the student is over 23 with dependent children, then the calculation will not include any assistance received under 479B of the HEA.

The formula for calculating the excess amounts of financial assistance included in

annual income is a one-step process of subtracting the total tuition plus required fees and charges from the total student financial assistance from all sources.

<table>
<tr><td colspan="2">Roberto is a 22-year-old full-time student without dependent children. Roberto received the following amounts to cover his first year of college: Federal Pell Grant: $12,000; University Scholarship: $22,000; City Scholarship: $3,000.</td></tr>
<tr><td>Total assistance received under 479B of HEA: $12,000 (Federal Pell Grant)

Total other student financial assistance received: $25,000

Total student financial assistance from all sources: $37,000</td><td>Total tuition + required fees and charges: $27,000</td></tr>
<tr><td colspan="2">Subtract the total cost of tuition + required fees and charges from the total amount of student financial assistance: $37,000 – $27,000 = $10,000</td></tr>
<tr><td colspan="2">The total amount of student financial assistance from all sources received by Roberto exceeds the total amount of tuition and required fees and charges.</td></tr>
<tr><td colspan="2">Excess student financial assistance: $10,000</td></tr>
<tr><td colspan="2">Amount of student financial assistance included in Roberto’s income: $10,000</td></tr>
</table>

<table>
<tr><td colspan="2">Cedric is a 28-year-old head of household and a full-time student with a 5-year-old daughter and a 9-year-old son who are his dependents. Cedric received the following amounts to cover his first year of college: Teach Grant: $8,000; Federal Pell Grant: $3,000; College Scholarship: $6,000.</td></tr>
<tr><td>Total assistance received under 479B of HEA: $11,000 (Teach Grant plus Federal Pell Grant)

Total other student financial assistance received: $6,000</td><td>Total tuition + required fees and charges: $26,000</td></tr>
<tr><td>Step 1: Determine amount of tuition plus required fees exceeding 479B assistance. $26,000 (total tuition + required fees and charges) minus $11,000 (total assistance received under 479B of HEA) equals $15,000</td><td>Step 2: Determine amount of student financial assistance to include in income. $6,000 (other student financial assistance received) minus $15,000 (amount of tuition + required fees and charges exceeding 479B assistance) equals –$9,000 (if negative, then use $0)</td></tr>
<tr><td colspan="2">The amount of other student financial assistance received by Cedric does not exceed the total amount of tuition and required fees and charges.</td></tr>
<tr><td colspan="2">Excess student financial assistance: $0</td></tr>
</table>

Gross Income from Self-Employment or Operation of a Business
Regulation: 24 CFR §§ 5.609(b)(24) and 5.609(b)(28)

The gross income received by a family through self-employment or the operation of a business is excluded from income. Gross income is all income amounts received into the business, prior to the deduction of business expenses. To determine the amount of business or self-employment income included in a family's annual income, the net income of the business must first be determined.

Net income is the "gross income amount minus business expenses" that allows the business to operate.

The net income from self-employment or the operation of a business is considered income.

Bill Conrad is the sole owner of BC Lawn Service. BC Lawn Service grossed $75,000 annually in 2024. BC Lawn Service also incurred a total of $35,000 in business expenses, including lawn equipment, rakes, insurance, depreciation of a tractor, and wage payments. After subtracting the $35,000 in business expenses from the $75,000 gross income, the net income is $40,000, which will be included in Bill's calculation of annual income.

D. Consideration of Assets

Assets Defined: Assets are items of value, other than necessary personal items, and are considered along with verified income in determining the eligibility of a household. Even if the applicant elects not to access the asset's principal or interest, the potential annual income that can be earned from assets is taken into consideration when calculating annual income. All asset income is considered, including asset income of minors. The income that could potentially be earned–or actually is earned–from assets is annualized based on what is anticipated to be received during the 12 months following eligibility determination.

No Asset Limit: The SHIP program does not set a limit on the value of assets that a household can possess. An applicant possessing many assets may still be eligible for SHIP assistance. For example, a person nearing retirement age may have thousands of dollars saved in retirement accounts. Such a person could still be assisted, as long as the income from his or her assets – along with other income sources – does not exceed SHIP's income limits. Some local SHIP jurisdictions choose to establish asset limits, a maximum value of assets that an applicant can possess and still be considered eligible for SHIP assistance. This is a local policy decision that must be written in the Local Housing Assistance Plan.

Determining Net Family Assets
Regulations: 24 CFR §§ 5.100 and 5.603

Net family assets are defined as the net cash value of all assets owned by the family, after deducting reasonable costs that would be incurred in disposing of real property, savings, stocks, bonds, and other forms of investment, except as excluded.

Assets with negative equity. The cash value of real property or other assets with negative equity would be considered $0 for the purposes of calculating net family assets. Negative equity in real property or other investments does not prohibit the family from selling the property or other investments, so negative equity alone would not justify excluding the property or other investments from family assets.

Assets disposed of for less than fair market value. In determining the value of net family assets, SHIP administrators must include the value of any business or family assets disposed of by an applicant or tenant for less than fair market value (including a disposition in trust, but not in a foreclosure or bankruptcy sale) during the two years preceding the date of application for the program in excess of the consideration received.

For example, if a family gave away a home with a net value of $80,000, the value of the home must be included in the calculation of net family assets for two years following the transfer of property. If a family sold a home for less than fair market value, the difference between the value and the amount for which they sold it would be included in net family assets for two years following the transfer of property. For example, if a family sold a property with a fair market value of $80,000 to a friend for $20,000, then the difference in value ($60,000) minus the cost to dispose of the property ($10,000), which is in this example totals $50,000, would be counted in net family assets for two years from the date of the property's transfer to the other party.

An asset moved to a retirement account held by a member of the family is not considered to be an asset disposed of for less than fair market value. In the case of a disposition as part of a separation or divorce settlement, the disposition will not be considered less than fair market value if the applicant or tenant receives consideration not measurable in dollar terms.

Asset owned by business entity. If a business entity (e.g., limited liability company or limited partnership) owns the asset, then the family's asset is their ownership stake in the business, not some portion of the business's assets. However, if the family holds the assets in their own name (e.g., they own one-third of a restaurant) rather than in the name of a business entity, then the percentage value of the asset owned by the family is what is counted toward net family assets (e.g., one-third of the value of the restaurant).

Jointly owned assets. For assets jointly owned by the family and one or more individuals outside of the assisted family, LGs must include the total value of the asset in the calculation of net family assets, unless the asset is otherwise excluded, or unless the assisted family can demonstrate that the asset is inaccessible to them, or that they cannot dispose of any portion of the asset without the consent of another owner who refuses to comply. If the family demonstrates that they can only access a portion of an asset, then only that portion's value shall be included in the calculation of net family assets for the family. Likewise, any income from a jointly owned asset must be included in annual income, unless that income is specifically excluded, or unless the family demonstrates that they do not have access to the income from that asset, or that they only have access to a portion of the income from that asset.

If an individual is a beneficiary who is entitled to access the account's funds only upon the death of the account's owner, and may not otherwise withdraw funds from an account, then the account is not an asset to the assisted family, and the family should provide proper documentation demonstrating that they are only a beneficiary on the account.

Exclusions from Net Family Assets
Regulations: 24 CFR § 5.603(b)(3)–(b)(4)

Required exclusions from net family assets include the following:

- The value of necessary items of personal property. (See the discussion below regarding Necessary and Non-Necessary Personal Property).
- The value of all non-necessary items of personal property with a total combined value of $51,600 or less, annually adjusted for inflation. (See the discussion below regarding Necessary and Non-Necessary Personal Property).
- The value of any account under a retirement plan recognized as such by the Internal Revenue Service, including Individual Retirement Accounts (IRAs), employer retirement plans (e.g., 401(k), 403(b)), and retirement plans for self-employed individuals.
- The value of real property that the family does not have the effective legal authority to sell in the jurisdiction in which the property is located. Examples of this include but are not limited to: co-ownership situations (including situations where one owner is a victim of domestic violence), where one party cannot unilaterally sell the real property; property that is tied up in litigation; inherited property in dispute.
- Any amounts recovered in any civil action or settlement based on a claim of malpractice, negligence, or other breach of duty owed to a family member arising out of law that resulted in a member of the family being a person with disabilities.
- The value of any Coverdell education savings account under section 530 of the Internal Revenue Code of 1986; the value of any qualified tuition program under section 529 of such Code; and the amounts in, contributions to, and distributions from any Achieving a Better Life Experience (ABLE) account authorized under section 529A of such code.
- The value of any “baby bond” account created, authorized, or funded by the federal, state, or local government (money held in trust by the government for children until they are adults).
- Interests in Indian trust land.
- Equity in a manufactured home where the family receives assistance under 24 CFR Part 982.
- Equity in property under the Homeownership Option for which a family receives assistance under 24 CFR Part 982.
- Family Self-Sufficiency accounts.
- Federal tax refunds or refundable tax credits for a period of 12 months after receipt by the family.
- The full amount of assets held in an irrevocable trust.
- The full amount of assets held in a revocable trust where a member of the family is the beneficiary, but the grantor/owner and trustee of the trust is not a member of the participant family or household.

NOTE: SHIP administrators may need to revise application forms, interview guides and individual verification forms to ensure that they are gathering adequate information to make appropriate asset exclusion determinations.

Necessary and Non-Necessary Personal Property
Regulation: 24 CFR § 5.603

Necessary personal property is excluded from net family assets. Non-necessary personal property with a combined value greater than $51,600, as adjusted by inflation, is considered part of net family assets. When the combined value of all non-necessary personal property does not exceed $51,600, as adjusted by inflation, all non-necessary personal property is excluded from net family assets.

All assets are categorized as either real property (e.g., land, a home) or personal property. Personal property includes tangible items, like boats, as well as intangible items, like bank accounts. For example, a family could have non-necessary personal property with a combined value that does not exceed $51,600 but also own real property such as a parcel of land. Even though the non-necessary personal property would be excluded from net family assets, the real property would be included in net family assets regardless of its value unless the real property meets a different exclusion under 24 CFR § 5.603.

Necessary personal property are items essential to the family for the maintenance, use, and occupancy of the premises as a home; or they are necessary for employment, education, or health and wellness. Necessary personal property includes more than merely items that are indispensable to the bare existence of the family. It may include personal effects (such as items that are ordinarily worn or utilized by the individual), items that are convenient or useful to a reasonable existence, and items that support and facilitate daily life within the family's home. Necessary personal property also includes items that assist a household member with a disability, including any items related to disability-related needs, or that may be required for a reasonable accommodation for a person with a disability. Necessary personal property does not include bank accounts, other financial investments, or luxury items.

Determining what is a necessary item of personal property is a highly fact-specific determination, and therefore it is incumbent on SHIP administrators to gather enough facts to qualify whether an asset is necessary or non-necessary personal property.

Items of personal property that do not qualify as necessary personal property will be classified as non-necessary personal property.

The following table lists examples of necessary and non-necessary personal property. **This is not an exhaustive list**.

Necessary Personal Property	Non-Necessary Personal Property
• Car(s)/vehicle(s) that a family relies on for transportation for personal or business use (e.g., bike, motorcycle, skateboard, scooter)	• Recreational car/vehicle not needed for day-to-day transportation (campers, motorhomes, travel trailers, all-terrain vehicles (ATVs))
• Furniture, carpets, linens, kitchenware	• Bank accounts or other financial investments (e.g., checking account, savings account, stocks/bonds)
• Common appliances	• Recreational boat/watercraft
• Common electronics (e.g., radio, television, DVD player, gaming system)	• Expensive jewelry without religious or cultural value, or which does not hold family significance
• Clothing	• Collectibles (e.g., coins/stamps)
• Personal effects that are not luxury items (e.g., toys, books)	• Equipment/machinery that is not used to generate income for a business

• Wedding and engagement rings	• Items such as gems/precious metals, antique cars, artwork, etc.
• Jewelry used in religious/cultural celebrations and ceremonies	
• Religious and cultural items	
• Medical equipment and supplies	
• Health care–related supplies	
• Musical instruments used by the family	
• Personal computers, phones, tablets, and related equipment	
• Professional tools of trade of the family, for example professional books	
• Educational materials and equipment used by the family, including equipment to accommodate persons with disabilities	
• Equipment used for exercising (e.g., treadmill, stationary bike, kayak, paddleboard, ski equipment)	

Passbook Rate
Regulation: 24 CFR § 5.609(a)(2)

HUD will annually publish a passbook rate based on the Federal Deposit Insurance Corporation (FDIC) National Deposit Rate for savings accounts, which is an average of national savings rates published on a monthly basis. SHIP administrators must use the HUD-published passbook rate when calculating imputed asset income for net family assets that exceed $51,600 (a figure that is annually adjusted for inflation). The HUD-published passbook rate will be posted to a dataset on the HUD User Web site, alongside annual inflationary adjustments (see Inflationary Items section). To determine the passbook rate for the next calendar year, HUD will average the most recent three months of FDIC updates to the National Deposit Rate for savings accounts, rounded to the nearest hundredth of 1 percent. HUD will calculate the update in July each year, using FDIC data from April, May, and June for publication on HUD User not later than September 1.

For 2025, the passbook rate will be 0.45 percent.

Actual and Imputed Income from Assets
Regulation: 24 CFR § 5.609(a)(2)

Actual income and imputed income are treated as described below.

Actual Income
Actual income from assets is always included in a family's annual income, regardless of the total value of net family assets or whether the asset itself is included or excluded from net family assets, unless that income is specifically excluded by 24 CFR § 5.609(b).

Income or returns from assets are generally considered to be interest, dividend payments, and other actual income earned on the asset, and not the increase in market value of the asset. The increase in market value is relevant to the cash value of the asset for the purpose of determining total net family assets and imputing income.

Imputed Income

Imputed income from assets is no longer determined based on the greater of actual or imputed income from the assets. Instead, imputed asset income must be calculated for specific assets when three conditions are met:

- The value of net family assets exceeds $51,600 (as adjusted for inflation);
- The specific asset is included in net family assets; and
- Actual asset income cannot be calculated for the specific asset.

Imputed asset income is calculated by multiplying the net cash value of the asset, after deducting reasonable costs that would be incurred in disposing of the asset, by the HUD-published passbook rate. If the actual income from assets can be computed for some assets but not all assets, then SHIP administrators must add up the actual income from the assets, where actual income can be calculated, then calculate the imputed income for the assets where actual income could not be calculated. After the SHIP administrator has calculated both the actual income and imputed income, the housing provider must combine both amounts to account for income on net family assets with a combined value of over $51,600.

When the family's net family assets do not exceed $51,600 (as adjusted for inflation), imputed income is not calculated. Imputed asset income is never calculated on assets that are excluded from net family assets. When actual income for an asset — which can equal $0 — can be calculated, imputed income is not calculated for that asset.

SHIP administrators should not conflate an asset with an actual return of $0 (as in the example above), with an asset for which an actual return cannot be computed, such as could be the case for some non-financial assets that are items of non-necessary personal property. If the asset is a financial asset and there is no income generated (for example, a bank account with a 0 percent interest rate or a stock that does not issue cash dividends), then the asset generates zero actual asset income, and imputed income is not calculated. When a stock issues dividends in some years but not others (e.g., due to market performance), the dividend is counted as the actual return when it is issued, and when no dividend is issued, the actual return is $0. When the stock never issues dividends, the actual return is consistently $0.

Self-Certification of Net Family Assets Equal to or Less Than $50,000 (as adjusted for inflation)
Regulations: 24 CFR §§ 5.603; 5.609; 5.618; 5.659(e); 882.515(a); 882.808(i)(1); 891.105; 891.655; 960.259(c)(2); and 982.516(a)(3)

SHIP administrators may determine net family assets based on a self-certification by the family that the family's total assets are equal to or less than $51,600, adjusted annually for inflation, without taking additional steps to verify the accuracy of the declaration. SHIP administrators are not required to obtain third-party verification of assets if they accept the family's self-certification of net family assets.

The family's self-certification must state the amount of income the family anticipates receiving from such assets. The actual income declared by the family must be included in the family's income, unless specifically excluded from income under 24 CFR § 5.609(b). SHIP administrators must clarify, during the self-certification process, which assets are included/excluded from net family assets.

SHIP administrators may combine the self-certification of net family assets and questions inquiring about a family's present ownership interest in any real property into one form.

SHIP administrators are not required to adopt a policy to allow for self-certification of net family assets for families with net family assets that are equal to or below $51,600, adjusted annually for inflation. SHIP administrators who choose not to accept self-certifications of assets must verify all families' assets on an annual basis. Third-party verification of assets is required when net family assets exceed $51,600, adjusted annually by HUD.

a. Calculating income from assets.

   i. First calculate the net cash value of the asset. This is what the applicant would receive if the asset were converted to cash. The cash value of an asset is its market value minus reasonable costs to be incurred in converting the asset to cash. Expenses, which may be deducted, include:
      1. Penalties for withdrawing funds before maturity
      2. Broker/legal fees assessed to sell or convert the asset to cash
      3. Settlement costs for real estate transactions
      4. Loans on the asset. This includes any outstanding mortgage on a rental home.
   ii. The next step to determining income from assets is to identify assets that generate an actual, tangible income. Savings accounts and certificates of deposit generate interest, for example. Rental properties generate rent. For any such asset, document the estimated actual income that it will generate during the next 12 months. Deduct any expenses anticipated to be incurred by the owner during the next 12 months such as property taxes and property insurance payments.
   iii. Because some assets do not produce an actual income, but appreciate in value, the SHIP program requires that administrators track the increase in asset value by calculating the "imputed income" for assets. This calculation is a "passbook rate" formula created by the Department of Housing and Urban Development. Administrators must calculate imputed income by multiplying the cash value of an asset by the passbook rate.

b. **Final Income Calculation**

When the applicant completes the SHIP application, the local housing administrator should do a calculation of the applicant's total annual income and compare to the applicable income limits for jurisdiction and household size. (Use the Income Certification Form as a "worksheet"). If the applicant's total annual income is well above the income limits, the verification process may be unnecessary. At that time, inform the applicant that it appears that the total household income exceeds the program's limits, which would make the household ineligible for assistance.

When providing SHIP assistance, always use the most current income limits chart as provided annually by the Florida Housing Finance Corporation. Generally, these charts are updated in February or March every year.

c. **Income Verification**

i. As a condition of admission to a SHIP-assisted unit (or continued occupancy of a SHIP-assisted rental unit), the local government must obtain source documentation to verify each source of annual income.
ii. First, an executed release of information form must be obtained from all adult household members. This authorizes the release of information from any depository, employer, or federal, state or local agency.
iii. The release form should state that the applicant permits the provision of any documentation from income sources for the purposes of determining or auditing the household's eligibility for housing assistance. This includes information such as earned, unearned and asset income, employment history, hours worked, frequency of pay, type of payment, commissions, bonuses, interest, etc., on all members currently or intending to reside in the household. Only request information that is necessary to determine the household's eligibility for program assistance.

d. Send release and verification forms directly to source (with a return envelope) via mail or facsimile. Do not send the forms through the applicant.

Verification
Regulation: 24 CFR §§ 5.240(c); 5.659(d); 891.105; 891.410(b)-(c) and (g); 891.610(b)-(c) and (g); 960.259(c); 982.201(e); and 982.516(a)(2)

Third-party verification is a process by which SHIP administrators gather information (e.g., about the family's annual income, value of assets, etc.) independently from the source of the income, assets, or other factors that affect the determination of adjusted income. Third-party verification may be obtained directly from the third party or through the family. SHIP administrators must document in the household file the reason why third-party verification was not available unless regulations specifically permit families to self-certify a particular component of annual income.

SHIP administrators must demonstrate efforts to obtain third-party verification prior to accepting self-certification except instances when self-certification is explicitly allowed (e.g., net family assets that do not exceed $50,000).

The following are forms of verification documentation from most acceptable to least acceptable:

Upfront Income Verification (e.g., The Work Number) – Highest Level of Acceptability

The verification of income through an independent source that systematically and uniformly maintains income information in computerized form for several individuals.

Written, Third-Party Verification from the Source – High Level of Acceptability

An original or authentic document generated by a third-party source dated within 120 days of the date received by the SHIP administrator. For fixed-income sources, a statement dated within the appropriate benefit year is acceptable documentation. Such documentation may be in the possession of the applicant.

Examples of acceptable applicant-provided documentation (generated by a third-party source) include but are not limited to the following: pay stubs, payroll summary report, employer notice/letter of hire/termination, SSA benefit verification letter, bank statements, child support payment stubs, welfare benefit letters and/or printouts, and unemployment monetary benefit notices.

SHIP administrators are required to obtain a minimum of two current and consecutive pay stubs for determining projected annual income from wages when they are relying on pay stubs documentation. For new income sources or when two pay stubs are not available, SHIP administrators should determine income based on the information from a traditional written, third-party verification form or the best available information.

When verification of assets is required, SHIP administrators are required to obtain a minimum of one statement that reflects the current balance of banking/financial accounts. SHIP administrators were previously required to average the balance of six checking account statements to determine the cash value of a checking account.

Written, Third-Party Verification Form – Medium Level of Acceptability

This type of verification is a form developed by the SHIP administrator and used uniformly for all families when needed to collect information from a third-party source. The form is completed by the third party by hand (in writing or typeset). SHIP administrators send the form directly to the third-party source by mail, fax, or email.

Oral Third-Party Verification – Medium Level of Acceptability

Independent verification of information by contacting the individual income/expense source(s), as identified by the family, via telephone or in-person visit. SHIP administrators must document in the household file the date and time of the telephone call (or visit to the third party) and the name of the person contacted and their telephone number, along with the confirmed information.

This verification method is commonly used when the independent source does not respond to the SHIP administrator's faxed, mailed, or e-mailed request for information in a reasonable time frame (e.g., 10 business days).

Self-Certification (Non-Third Party) – Low Level of Acceptability

The applicant submits a signed statement of reported income and assets to the SHIP administrator. This verification method should be used as a last resort when the SHIP administrator has not been successful in obtaining information via all other required verification techniques. When the SHIP administrator relies on self-certification to verify income or expenses, the SHIP administrator must document in the household file why third-party verification was not available.

- **Notes on Third party Verification**
  - Written third-party verification may involve an income verification form mailed or faxed to the employer (or other income source) from the SHIP administrator. The verification form should request information about the amount of income that the applicant is anticipated to receive in the next 12 months.
  - Start the procedure for obtaining third-party verification by faxing or mailing an information request to the income source.
  - State the reason for the information request and include a signed statement from the applicant authorizing the release of information.
  - Include a section for the employer or other third-party source to provide the information requested.
  - Provide space for a signature of the employer or other third-party source, along with their job title and date.
  - On occasions, the employer or other third-party source may not return the written verification form. Make additional attempts to obtain written verification by sending another form. Document all efforts in the notes section of the applicant file.
  - At this point, the SHIP administrator can obtain the information required by calling the income source.
  - If efforts to obtain oral verification also fail, use any written income information (include tax returns, pay stubs and bank statements) to document sources of income. When using paystubs use the most recent 2 consecutive pay stubs.
  - Upon receiving the income verifications, date-stamp each one and compare information on the verifications with information on the application and make any necessary notations to enable accurate determination of income eligibility.
  - Talk with the applicant if there are significant differences between the amounts reported on the application and the verification form. Ultimately, the SHIP administrator must rely on information from the third party source, but reviewing discrepancies may cause the administrator to call the third party to ask clarifying questions to ensure that income information is complete. Discrepancies must be investigated, resolved, and documented in the household file.
  - Do not augment the third-party information received with data on tax returns or pay stubs, which only provide historical–not current–information. The third party source provides the most accurate information available to estimate income that will be earned in the next twelve months.
  - The verification of employment form may indicate that the applicant will soon receive a raise. Determine when the raise will take effect during the next 12 months. Calculate employment income at the current pay rate until the estimated month of the raise. Calculate income at the higher pay rate for the remainder of the twelve-month period.
  - The information to be verified refers to the upcoming 12-month period. Always request information on income anticipated over the next 12 months from income sources and stress the importance of a timely reply unless it cannot be obtained.

In cases where an applicant is self-employed, the net income anticipated to be derived by the applicant is considered annual income and first-hand documentation is necessary (Source: HUD 24 CFR Section 5.609 Part 4 (b) (2), additional information is provided in HUD Handbook 4350.3 (11/2013) chapter 5-6 (H). This is the only instance in which net income—instead of gross income—is used to determine eligibility. The applicant's net income will be calculated by subtracting expenses from gross income in the same manner permitted by Schedules C, E, or F of the IRS Tax Return Form 1040. Have the applicant provide copies of tax returns for one or two years. In addition, the applicant or his or her bookkeeper should supply an income and expense report (also called a profit and loss statement, or a quarterly audited statement from a bookkeeper) for at least the past three months. Use the amount of net income from this report to anticipate the amount of income for the business in the next 12 months. If the report indicates the net income generated in the past three months, for example, multiply this figure by 4 to estimate the income from the business in the next 12 months. If the net income from a business is negative, it must be counted as zero income.

- Sometimes an applicant's business is seasonal, with busy and slow months. The business income indicated in the income and expense report may not accurately estimate the income to be received in the next 12 month period. In such a case, ask the applicant to provide a signed statement stating why his or her income will be higher or lower in the next 12 months than you would estimate it to be based solely on the information in the income and expense report.
- The SHIP administrator should then verify this information by looking at the amount of business income reported on one or two years of the applicant's tax returns.
- Except when addressing self-employed applicants, do not use the applicant's income tax return for verification of income if the selected methodology used is 24 CFR Part 5.

  Owners must consider the following when using tenant provided documentation:

  (a) Is the document current? Documentation of public assistance may be inaccurate if it is not recent and
  does not show any changes in the family's benefits or work and training activities.

  (b) Is the documentation complete? Owners may not accept pay stubs to document employment income
  unless the applicant or tenant provides the most recent four to six, consecutive pay stubs to illustrate
  variations in hours worked. Actual paychecks or copies of paychecks should never be used to document income because deductions are not shown on the paycheck.

  (c) Is the document an unaltered original? The greatest shortcoming of tenant-provided documents
  as a verification source is their susceptibility to undetectable change through the use of high quality
  copying equipment. Documents with original signatures are the most reliable. Photocopied documents generally cannot be assumed to be reliable.

(2) Written documentation sent directly by the third-party source by mail or electronically by fax, email or internet.

- **The 120 Day Rule for Third Party Verification**
  - Completed income verification forms do not stay "fresh," up-to-date, and accurate indefinitely. Over time, a household's income can change—the applicant may, for example, get a raise, lose a job, or take a second job. The HUD Handbook 4350.3 recognizes that verification forms can only be considered accurate and current for a certain length of time:
  - "Verifications are valid for 120 days from the date of receipt by the owner. If verifications are more than 120 days old, the owner must obtain new verifications." *(Source:* HUD Handbook, 4350.3, Chapter 5, Section 3, Paragraph 5-17, B (1-2).
  - You may stop the 120 day clock by encumbering SHIP funds before the 120 days have expired. "Encumbered" is defined in 67-37.002 (7), which states that "deposits made to the local affordable housing trust fund have been committed by contract, or purchase order, letter of commitment or award in a manner that obligates the county, eligible municipality, or interlocal entity to expend the encumbered amount upon delivery of goods, the rendering of services, or the conveyance of real property by a vendor, supplier, contractor, or owner."
  - Once you have committed SHIP funds to your applicant, the 120 day clock stops and you can continue on to provide assistance. You must re-verify an applicant's income if 120 days have elapsed between the time when you received completed verification forms and the time of encumbrance of SHIP funds.
  - After you and the applicant sign the income certification form and you issue a letter of commitment, you no longer have to actively ask any income eligibility questions. However, someone may approach you with information that household size or income has changed since the certification form was signed. For example, an applicant may tell you that she has received a raise to work, or a lender may tell you about a part time job that the applicant reported in the mortgage application, but not the SHIP application. If you receive such information, you are obligated to re-calculate and re-certify that the applicant's household is eligible for assistance until such point as you provide down payment assistance at closing or until you initiate the rehabilitation work.

- **Calculation and Verification of Income**
  - Use the income information from the third party verification forms to calculate the annual gross income for the household in the next 12 months.
  - A signed certification form must be obtained from the applicant in order for the eligibility process to be complete. SHIP administrators cannot calculate and certify household income until all verifications are received and the housing administrator determines that the household is income eligible. Electronic signatures are sufficient.
  - The certification form must indicate the annual household income and family size and a statement regarding the completeness and accuracy of the information.

- The income certification form must be prepared by the SHIP administrator and then properly executed by both the applicant, household members over 18 and the SHIP administrator or local government representative.
- The effective date of the income certification is the date the last person signs the income certification. Also, the income certification is a legal document establishing income eligibility. White out should not be used to make changes to this document. Cross out the incorrect information and write in the correct information.
- The homeowner and the SHIP Administrator should both initial the changes. The income certification should be signed by the homeowner in front of the SHIP Administrator.
- If the income certification is mailed to the homeowner for signature, the SHIP administrator should require that the signature be notarized before the document is returned to the SHIP administrator.
- A signed certification form must be obtained from the applicant in order for the eligibility process to be complete.

Inflationary Items

HOTMA established eight inflationary items. HUD will annually publish these items no later than September 1. Of the eight, the table lists those that apply to SHIP (amounts shown were effective January 1, 2025):

Adjusted Item	Regulatory Reference	Amount
Threshold above which imputed returns must be calculated on net family assets	24 CFR §§ 5.609(a)(2) and (b)(1)	$51,600
Threshold above which the total value of non-necessary Personal property is included in net family assets	24 CFR § 5.603(b) Net family assets	$51,600
The amount of net assets for which the LGs may accept self-certification by the family	24 CRF 5.618(b)(1) 24 CFR § 5.659(e) 24 CFR § 92.203(e)(1) 24 CFR § 93.151(e)(1) 24 CFR § 882.515(a) 24 CFR § 882.808(i)(1) 24 CFR § 960.259(c)(2) 24 CFR § 982.516(a)(3)	$51,600
Income exclusion for earned income of dependent full-time students	24 CFR § 5.609(b)(14)	$480
Passbook Savings Rate	24 CRF 5.609(a)	0.45%

Note: Adjusted items must be used for income and asset calculations effective on or after January 1 of the following year.

Appendix B
Program Eligibility and Feasibility

A. Homeownership Units

1. Concurrent to the income qualification process is the determination of unit eligibility. For assistance using SHIP funds, the unit must conform to the definition of "eligible housing" as defined in Chapter 420.9071(8) of the Florida Statutes. All SHIP-assisted units must comply with all Florida Building Code provisions outlined in Chapter 553 of the Florida Statutes. For this reason, SHIP funds cannot be used to purchase or rehabilitate mobile homes which are not constructed to the HUD code.
2. Unit eligibility considers the value of the unit. Section 420.9075 (5)(c) of the Florida Statutes indicates that "the sales price or value of new or existing eligible housing may not exceed 90 percent of the average area purchase price in the statistical area in which the eligible housing is located. Average area purchase price may be calculated for any 12-month period beginning not earlier than the fourth calendar year prior to the year in which the award occurs or as otherwise established by the United States Department of the Treasury." The definitions section of the SHIP Statute outlines exactly how to determine the "sales price or value" of several types of units:
    a. When a new or existing home is purchased, the value is the amount on the executed sales contract.
    b. For households building a unit on land they own, the sales price is determined by an appraisal performed by a state-certified appraiser. The appraisal must include the value of the land and the improvements using the after-construction value of the property and must be dated within 12 months of the date construction is to commence.
    c. For existing units being rehabilitated without the creation of additional living space, the value is determined by a recent appraisal performed by a state-certified appraiser or the assessed value of the real property as determined by the county property appraiser.
    d. For rehabilitated units that include the addition of new living space, value means the value of the real property plus the cost of the improvements.

3. There are unit eligibility criteria that are specific to rehabilitation activities. First, consider whether the unit can be repaired up to the jurisdiction's locally adopted standard at a cost that does not exceed the maximum per unit award that is stated in the Local Housing Assistance Plan. Also, if SHIP funds are used on a unit along with CDBG, HOME or other federal funds, adherence to all applicable federal requirements, including but not limited to federal lead based paint standards is also required. When combining different funding sources, the strictest rule will apply.

B. Rental Units

1. There are also unit eligibility criteria specific to using SHIP funds on rental units. The amount of monthly rent charged on the unit cannot exceed the rental limits for the community, as published annually by the Florida Housing Finance Corporation. Furthermore, the affordability of the rental unit must be maintained for at least 15 years (Source: SHIP Rule Chapter 67-37.007 (10) F.A.C.). However, any loan or grant in the

original amount of $10,000 or less shall not be subject to these annual monitoring and determination of tenant eligibility requirements.

C. Special Needs Housing

1. Some uncommon unit eligibility criteria apply to certain types of special needs housing. Typically when SHIP funds are used on group homes, temporary housing, or transitional housing, count each bed in the facility as a separate unit. These facilities are not considered home ownership units. They must comply with all the provisions in the SHIP Rule relating to rental housing (Chapter 67-37.007 (10) F.A.C.). However, like all rental property, the sales price or value of group homes, temporary housing, or transitional housing may exceed the maximum sales price or value outlined in the Local Housing Assistance Plan.

D. Program Eligibility

1. Determination of "program eligibility" must also occur concurrent to the income qualification process. Program eligibility considers if the assistance requested by the applicant is an eligible activity under both the state's guidelines and the Local Housing Assistance Plan. Some local jurisdictions impose additional eligibility criteria on SHIP recipients that are not outlined in the SHIP Rule or Statute. For example, some local SHIP programs deny assistance to applicants who are not current on payment of all municipal taxes and fees.

2. Consideration of program eligibility must also account for the Income, Homeownership and Construction/Rehabilitation "Set Asides" outlined in Chapter 420.9075 (5) (a-d) of the Florida Statutes. The SHIP Rule and Statute include set aside requirements that dictate how SHIP funds must be spent. A minimum of 30 percent of the funds deposited into the local housing assistance trust fund must assist very low-income persons. At the same time, 60 percent of all funds deposited in the housing trust fund must assist very low- or low-income persons. This must be considered when screening new applicants. The SHIP program could not currently help a moderate income applicant, for example, if the local jurisdiction's funds are nearly depleted and if the jurisdiction had not yet complied with the Income Set Aside by expending at least 60 percent of SHIP funds on very low- and low-income households.

3. The same consideration applies to the Home Ownership and Construction/Rehabilitation Set Asides. At least 65 percent of the annual SHIP distribution and funds recaptured during the fiscal year must be devoted to homeownership (as opposed to rental) activities, while at the same time at least 75 percent of the distribution "and recaptured funds" must be devoted to either new construction or rehabilitation activities. Therefore, if a SHIP program has already spent 10 percent of funds on administration and 25 percent of a certain year's allocation on non-home ownership activities, it could not provide assistance under a rental strategy from that particular year. Homeownership activities include assistance to existing owner occupants as well as purchase assistance to new homebuyers.

E. Affordability Test

1. The program administrator must also perform an "affordability test" on recipients of SHIP purchase assistance, as well as those living in SHIP-assisted rental units.

a. For SHIP-assisted rental units, the Florida Housing Finance Corporation annually publishes maximum levels of rent that can be charged. This establishes a standard of affordability for all SHIP-assisted renters.
b. When assisting homebuyers, the program administrator should determine if the buyer's monthly mortgage payment is considered affordable as the term "affordable" is defined by the SHIP program in Section 420.9071 (2) of the SHIP statute.
c. Consider if the applicant's housing costs exceed an amount representing 30 percent of the maximum monthly income allowed for the applicant's income category (very low, low, or moderate income). Remember that you may still help an applicant purchase a home if the monthly mortgage payment exceeds this 30 percent mark, so long as the first mortgage lender is satisfied that the arrangement is reasonable. At the same time, the SHIP administrator should also review the details of the mortgage terms as the homebuyer's advocate, to ensure that the loan is consistent with the community's lender guidelines.

F. Housing Assistance Activities

1. Once the income, program and unit eligibility processes have been completed and the applicant has been deemed eligible to receive assistance, housing assistance activities can begin. If the award is for purchase assistance, the first mortgage lender may require a commitment letter from the local government that specifies the amount of assistance.
2. For rehabilitation of owner-occupied housing, the process of developing the work write-up, contractor selection and other related activities may begin.
3. For home purchase assistance**,** there should be coordination of the income-eligibility process. For instance, it is a good idea to coordinate with the first mortgage lender to ensure credit worthiness and a firm commitment from the lender for the first mortgage. Similarly, the rehabilitation specialist should ensure that repairs to the unit are feasible and cost-effective.
4. Providers of housing counseling services should ensure that the applicant is ready for home ownership and has already placed or will soon place a contract on a home. If sound practices for coordination and communication are in place, there will be fewer problems throughout the process and the applicant will be confident that his or her needs have been effectively addressed by the local program.
5. If the award is for purchase assistance, the first mortgage lender may require a commitment letter from the local government that specifies the amount of assistance.

Appendix C
Glossary of Housing Terms

1. Adjusted for Family Size — Adjusted in a manner that results in an income eligibility level that is lower for households having fewer than four people, or higher for households having more than four people. The base income is based upon a formula established by the U.S. Department of Housing and Urban Development.

2. Administrative Expenditures — those expenditures directly related to implementation of the Local Housing Assistance Plan.

3. Affordable — Monthly rents or monthly mortgage payments including taxes and insurance that do not exceed 30 percent of that amount which represents the percentage of the median annual gross income for the households. The SHIP statutory definition of affordable states, however, that it is not the intent of the SHIP program to limit an individual household's ability to devote more than 30 percent of its income for housing. Housing for which a household devotes more than 30 percent of its income shall be deemed affordable if the first institutional mortgage lender is satisfied that the household can afford mortgage payments in excess of the 30 percent benchmark.

4. Americans with Disabilities Act (ADA) — Provides federal civil rights protection to individuals who are physically or mentally disabled. The ADA prohibits discrimination against the disabled in employment, public services, public accommodations, and telecommunications. Entities that are covered by the ADA must make reasonable accommodation, which involves adapting programs, facilities, or work places to allow disabled individuals to participate in the program of services.

5. Amortization — a plan for paying off a financial obligation by making periodic installment payments over a set period of time, at the end of which the loan balance is zero. Often mortgages have a 30-year amortization, requiring the borrower to make 360 equal monthly payments.

6. Appreciation — the value of property due to improvements made to the property or surrounding area/neighborhood by the owner or other parties, including the government and/or more general market forces. Commonly, and incorrectly, used to describe an increase in value through inflation.

7. Audit — an examination of the financial or administrative records of an organization or governmental entity to ensure that they are complete and accurate.

8. Back-End Ratio — (i.e., debt ratio) a calculation used by the lender to determine if the amount of income less debt is sufficient to afford the monthly payment. It is calculated by taking the monthly mortgage payment (PITI) and dividing it by the sum of the gross monthly income minus the total monthly debt payments of the applicant. The maximum ratio varies depending on the loan and program applied for.

9. Balance Sheet — A financial statement showing a “snap-shot” of the assets, liabilities and net worth (fund balance) of an organization on a given date.

10. Cash Flow — Revenue less expenditures over a set period of time.

11. Closing — the final procedure in a real estate sale, in which property ownership is transferred in exchange for an agreed upon payment.

12. Collateral — Assets pledged to secure a loan.

13. Community Action Agency (CAA) — CAAs were organized in the 1970s with the goal of eliminating the causes, conditions, and effects of poverty. A CAA may be a private, non-profit, tax-exempt corporation or a department within local government. CAAs may operate a variety of programs that serve low income and elderly residents of the community, including emergency home repair, weatherization, food distribution, employment counseling, homeless assistance, transportation and Head start. CAAs generally receive funding from a variety of federal, state, local, and private sources. Sometimes referred to as Community Action Program (CAP) agencies.

14. Community-based organization (CBO) — A nonprofit organization that has among its purposes the provision of affordable housing to persons who have special needs or have very low income, low income, or moderate income within a designated area, which may include a municipality, a county, or more than one municipality or county, and maintains, through a minimum of one-third representation on the organization's governing board, accountability to housing program beneficiaries and residents of the designated area. A community housing development organization established pursuant to 24 C.F.R. part 92.2 and a community development corporation created pursuant to chapter 290 are examples of community-based organizations.

15. Community Development Corporation (CDC) — A CDC is usually a local, non-profit entity organized to address long-term community revitalization by building affordable housing, assisting or starting small businesses, and creating jobs.

16. Community Housing Development Organization (CHDO) — Under the HOME Program, a CHDO is a private, non-profit, 501(c) (3) tax-exempt organization that has, among its purposes, the provision of decent, affordable housing to low- and moderate-income persons. CHDOs must, among other things, have demonstrated capacity for carrying out activities funded with HOME funds, and must maintain at least one-third of its governing board’s membership for residents of low income neighborhoods, other low income community residents, or elected representatives of low income neighborhood organizations. Further information can be found in the HOME Rule, 24 CFR, Parts 91 and 92.

17. Community Reinvestment Act (CRA) — Enacted by Congress in 1977, states that banks and savings institutions have an affirmative obligation to serve the public, and especially to help meet the deposit and credit needs of local communities in which they are chartered, including the needs of residents in low- and moderate-income neighborhoods. Failure of an institution to meet these needs can result in a financial institution being unable to expand or merge with another lender.

18. Consolidated Plan — A plan developed by a local government that describes the needs, resources, priorities, and proposed activities to be undertaken with funds provided under

various federal programs. A consolidated plan is required by HUD for all participating jurisdictions and grantees.

19. Credit Underwriting — A process used by lenders (including government lenders) to evaluate the feasibility of a development (i.e., whether project income will be sufficient to pay the loan and operating expenses).

20. Debt Service — Loan principal and interest payments.

21. Deed — a legal instrument that transfers property ownership from one party to another.

22. Default — the failure to make required payments on a financial loan secured by a first mortgage which leads to foreclosure and loss of property ownership.

23. Demographic Data — Information about the characteristics of human populations, including size, income, age, wealth, race, ethnicity, gender, housing conditions, etc.

24. Developmental Disability — Florida Statute 393 defines "developmental disability" as a disorder or syndrome which is attributable to retardation, cerebral palsy, autism, or spina bifida and which constitutes a substantial handicap that can be reasonably be expected to continue indefinitely.

25. Development of Regional Impact (DRI) — Large-scale developments that are required to undergo a comprehensive regional impact review prior to local government approval. The review process is coordinated by a Regional Planning Council (RPC).

26. Entitlement Jurisdiction-- This is used to describe a city or county that receives funding from the Community Development Block Grant program or the HOME Investment Partnership Funds program. These communities meet certain program requirements and are eligible or 'entitled' to receive funding under these programs.

27. Equity — the market value of real property, less the amount of existing debt or liens.

28. Essential Service Personnel — Pursuant to Chapter 2006-69, Laws of Florida, persons in need of affordable housing who are employed in occupations or professions in which they are considered essential service personnel, as defined by each county and eligible municipality within its respective local housing assistance plan pursuant to Section 420.9075(3) (a), F.S.

29. Evaluation and Appraisal Report (EAR) — this is a report that each local government must initially prepare five years after the adoption of its local government comprehensive plan to look at how the plan is working. It is required to be reviewed periodically thereafter. The EAR is intended to reflect changes in state policy on planning and growth management. The EAR must set forth the "actions" or "plan amendments" that are necessary to respond to changes in growth policies and updated information on local conditions.

30. Extremely Low Income — this term describes a person or household that has an income that is below 30 percent of the area median income for a specific city or county. The term is described in more detail in the definitions section of the SHIP Statute.

31. Fair Housing Act — The Fair Housing Act makes it illegal to deny housing, refuse to rent, sell, or negotiate, or offer different terms and considerations because of race, color, religion, sex, national origin, handicap, or familial status. If you suspect violation of the Fair Housing Act or want more information, you may contact the U.S. Department of Housing and Urban Development, Fair Housing, 451 7th Street, SW, Washington, D.C. 20410, (800) 669-9777.

32. Fair Housing Ordinance (FHO) — A FHO is required of all localities participating in federal programs. It makes illegal any discrimination based on race, color, ancestry, religion, sex, national origin, familial status or handicap.

33. Federal Housing Finance Agency (FHFA). The federal housing agency created in 2008 to take over the functions of the Office of Federal Housing Enterprise Oversight (OFHEO) and the Federal Housing Finance Board (FHFB). It oversees and regulates Freddie Mac and Fannie Mae, as well as the Federal Home Loan Banks.

34. Financial Statements — Written record of the financial status of an individual, organization or governmental entity. Statements commonly include income statement, balance sheet, cash flow statement, and if the organization is a non-profit, a funds balance statement.

35. Financing Fee — Money charged by a lender to originate a loan. The fees are based on a percentage of the loan amount, and one point is equivalent to 1 percent.

36. 501(c) (3) — Section of the Internal Revenue Code that addresses the requirements that an organization must meet in order to be considered a tax-exempt organization. Many people refer to agencies that have obtained a tax-exempt status as a "501(c) (3)."

37. Foreclosure — the legal process a lender uses to exercise its right to force the sale of a property to gain repayment of mortgage debt. Generally, lenders exercise this right when a borrower has failed to make timely payments. When money is borrowed to pay the purchase price of a home, the home is used as collateral for the loan and the evidence of that collateral is a mortgage recorded in the public records of the county where the real property is located. If the borrower fails to make the required payments on the mortgage, the lender brings a court action to take possession of the property in order get its loan repaid. That legal action in Florida is a judicial foreclosure.

38. Front-End Ratio—(i.e., income ratio) — A calculation used by the lender to determine if an applicant's income is sufficient to afford the monthly payment. It is calculated by taking the monthly mortgage payment (principal, interest, taxes, and insurance) and dividing it by the gross monthly income of the applicant.

39. Grants — Gifts of money given by foundations, or federal or state government, without expectation of repayment.

40. Gross Income — See Annual (Gross) Income.

41. HOME Investment Partnerships Program (HOME) — The Home Investment Partnerships Program was enacted in 1990 as part of the Cranston-Gonzalez National Affordable Housing Act.

42. Home Ownership Activities — the use of the local affordable housing trust fund moneys for the purpose of providing owner-occupied housing.

43. Household — Individual, family, or group of individuals living together in a unit.

44. Housing Credits— a competitive federal program administered by the state, which grants income tax credit to developers who build or substantially rehabilitate affordable rental housing. The tax credits are used to raise project equity.

45. Inclusionary Zoning-- This is a land use regulation that a city or county may use to require that a certain proportion or number of housing units are affordable in an otherwise market rate development. In this way, an apartment complex that is not considered an affordable apartment complex (such as one financed by the Florida Housing Finance Corporation) may have some units that are affordable.

46. Income Statement (Profit and Loss) — Summary of revenues, costs, and expenses for a business over a period of time.

47. Institutional First Mortgage Lender — any financial institution or governmental agency authorized to conduct business in this state and which customarily provides service or otherwise aids in the financing of mortgages on real property located in this state.

48. Interest — the financing fee for a loan, usually calculated on a percentage of the amount loaned spread over the term of the loan.

49. Investor — an organization, corporation, individual or other entity that acquires an ownership position in a project, thus assuming risk of loss in exchange for anticipated returns.

50. Lease-up Period — the amount of time it takes for a building, such as multi-family housing, to reach a stable occupancy rate and income stream.

51. Leveraging — using a small amount of funds to attract other funds, including loans, grants and equity investments. The premise of leveraging is to use public dollars in conjunction with private dollars to increase the number of affordable housing units that can be produced.

52. Liabilities — A general term encompassing all types of debts and obligations.

53. Lien — Recorded claim against a property whereby the property is security for a debt. Under certain circumstances, the holder of the lien is entitled to have the property sold to satisfy the debt. A lien is an encumbrance against the property.

54. Loan Guarantees — A pledge by a third party that, in case of default by the borrower, promises to repay all or a portion of the borrowed amount. State and local governments

and non-profit intermediaries are often sources of loan guarantees, with the Federal Housing Administration (FHA) being one of the most well-known.

55. Loan-To-Value Ratio — the loan amount(s) as a percentage of the property's appraised value or sales price, whichever is less. For example, a loan amount of $57,000 on a home that has a sales price of $60,000 has a 95 percent loan-to-value ratio ($57,000/$60,000). A lender will use a loan-to-value ratio to determine the maximum amount it will lend on a property.

56. Local Housing Partnership — The implementation of the local housing assistance plan in a manner that involves the applicable county or eligible municipality, lending institutions, housing builders and developers, real estate professionals, advocates for low-income persons, community-based housing and service organizations, and providers of professional services relating to affordable housing.

57. Low Income -- This term describes a person or household that has an income that is below 80 percent of the area median income for a specific city or county. The term is described in more detail in the definitions section of the SHIP Statute.

58. Market Value — the price a property would sell for in a competitive market when there has been a normal offering time, no coercion, arms-length bargaining, typical financing, and informed buyer and sellers.

59. Match — the commitment of non-federal funds to supplement HOME Investment Partnerships Program funds for affordable housing.

60. Mortgage — A temporary and conditional pledge of property to a creditor as security for the repayment of a debt. The borrower (mortgagor) retains possession and use of the property.

61. Mortgage Revenue Bonds (MRB) — State and local housing finance agencies (HFAs) sell tax-exempt bonds and use the money that is raised to lend to first-time homebuyers. Because buyers of these bonds accept a lower rate of return on their investment than if the bonds were taxable, HFAs can lend proceeds to the homebuyers at interest rates below conventional mortgage rates.

62. National Affordable Housing Act (NAHA) — In October 1990, Congress approved the National Affordable Housing Act, the most comprehensive housing legislation since 1974.

63. Neighborhood Housing Services (NHS) — NHS is a national network of locally funded and operated, autonomous, self-help programs which are revitalizing declining neighborhoods.

64. Net Operating Income (NOI) — Gross profits minus operating expenses and taxes.

65. Non-profit Corporation — a corporation established under state law for purposes other than making profits that would be distributed to the owners, directors, members or officers.

66. Participating Jurisdiction (PJ) — the term given to any state or local government that HUD has designated to administer an allocation of HOME Investment Partnerships Program funds.

67. Personal Property — Major appliances, including a freestanding refrigerator or stove, to be identified on the encumbering documents.

68. Principal — the currently unpaid balance of a loan, not including interest.

69. Private Mortgage Insurance (PMI or MI) — Coverage that, in instances of default, guarantees a lender the partial payment of an outstanding loan balance.

70. Pro Forma — Projected annual income and expenses for a rental development for a given period (usually 15 years).

71. Property Tax Abatement — Reduction or exemption from ad valorem tax for a specified time period.

72. Public Housing Authority (PHA) — Created by local governments pursuant to Chapter 421, Florida Statutes, local PHAs develop, own, and operate public housing and administer Section 8 programs.

73. Purchase Option — the right to buy a property at a specified price within a specified time. A purchase option or "option to purchase" is different from a purchase and sale contract in that the option money is not refundable and is usually not credited toward the purchase price at closing.

74. Real Estate Owned (REO) — Property that is owned by a lender, usually acquired through a foreclosure, or through a deed in lieu of foreclosure.

75. Real Estate Settlement Procedures Act (RESPA) — RESPA requires that lenders give all borrowers of federally-related mortgage loans an estimate of settlement costs and a HUD-prepared booklet with information about real estate transactions, settlement services, cost comparisons, and relevant consumer protection laws.

76. Real Property — Land, including all things permanently attached to the land, such as buildings and infrastructure, commonly referred to as appurtenances.

77. Reconstruction — rebuilding of a structure, usually on the same foundation as the existing housing which will be demolished.

78. Regional Planning Council (RPC) — RPCs provide planning and technical assistance to local governments on federal and state issues such as housing, growth management, emergency management, and intergovernmental coordination. The State of Florida has 11 RPCs.

79. Rehabilitation — Repairs or improvements which are needed for safe or sanitary habitation, correction of substantial code violations, or the creation of additional living space. Local plans may more specifically define local rehabilitation standards.

80. Rent Subsidies — ongoing monthly rental assistance. The term does not include initial assistance to tenants, such as grants or loans for security and utility deposits.

81. Reserves — Funds held to pay future liabilities. Typical reserves include replacement reserve for major repairs, operating reserve for covering negative cash flow and contingency funds.

82. Rural Development (RD) - formerly known as Farmers Home Administration.

83. (FmHa) — Provides funding for mainly rural housing programs.

84. Secondary Market — Markets into which originating lenders sell their loans to investors who are seeking longer-term investments (e.g., Fannie Mae).

85. Section 504 — Section of the Handicapped Accessibility/Architectural Barriers Act that requires all public buildings to be designed, constructed, or renovated to provide access for physically handicapped persons.

86. Single Room Occupancy (SRO) — SROs provide housing for elderly, disabled, the working poor and others who, without SROs might otherwise be homeless. An SRO room typically has a sink, closet, and sleeping space. Bathroom, shower, and kitchen spaces are generally shared with others.

87. Strategic Plan — A plan of action that guides how a goal, such as developing affordable housing, will be accomplished.

88. Subordinated (Secondary or Tertiary) Debt — If more than one lender has a lien on a property, the subordinated debt is paid after the debt of lien holders in superior (or first) positions.

89. Sub Recipient — Means a person or non-state organization contracted by a SHIP eligible local government and compensated with SHIP funds to provide administration of any portion of the SHIP program.

90. Subsidy — Financial assistance in the form of government loans, grants, or other contributions that are used to make housing affordable.

91. Sweat Equity — the value of volunteer labor in producing affordable housing.

92. Targeting — Federal, state or local requirements of the CDBG Small Cities, HOME or SHIP Programs relating to the use of funds for units that assist certain income groups or fund particular activities (i.e., home ownership, hard construction costs, etc.). Can also be used to refer to a situation where funds are spent only in a specific geographic area.

93. Title Insurance Policy — Insurance paying monetary damages for loss of property from superior legal claims not excepted by the policy.

94. Unsecured — a loan that has no collateral pledged as security.

95. Very Low Income -- This term describes a person or household that has an income that is below 50 percent of the area median income for a specific city or county. The term is described in more detail in the definitions section of the SHIP Statute.

96. Veterans Administration (VA) — a mortgage guaranty program begun after World War II to enable returning service personnel to purchase homes, offering 100 percent financing and requiring no down payment or insurance premium on the loan.

97. Welfare Transition Program — A program pursuant to the provisions of Chapter 2000-165, Laws of Florida.

Appendix D
Forms for Applicant Information

1	**Applicant Document Checklist**
2	**Application for Assistance**
3	**Third Party Verification (Assets)**
4	**Authorization for Release of Information**
5	**Verification of Child Support Payments**
6	**SHIP Rehabilitation Checklist**
7	**Resident Income Certification (Homeowner)**
8	**Resident Income Verification (Renter)**
9	**Verification of Business Income**
10	**Verification of Pensions and Annuities**
11	**Third Party Verification (cash Contributions)**
12	**Verification of Social Security benefits**
13	**Third Party Verification of Unemployment Benefits**
14	**Third Party Verification of Employment**
15	**Verification of Verbal Verification**
16	**Verification of Veterans Benefits**

APPLICANT'S DOCUMENT CHECKLIST

Dear Applicant:

On_____you have an appointment with_____to determine eligibility for_____assistance.

For Existing Home Owner (Rehabilitation Assistance), please bring items A through E to your appointment. For Home Buyer Assistance, please bring items A and B only.

A. Completed Application Form

B. Proof of Property Ownership (this may include a copy or original of one of the items below):

Warranty Deed	Homestead Exemption
Quit-Claim Deed	Tax Records
Long-term Lease	Life Estate

C. Proof that you are current in your property taxes to the city (this may include a copy or original of one of the items listed below):

- Property tax payment receipt from the city
- Cancelled check to the city for property taxes
- Affidavit certifying payment of property taxes
- Mortgage statement from lenders indicating taxes were paid

D. Proof of hazard insurance (which may include a copy of your home owner's insurance or fire insurance policy).

E. Proof of Identity

A social security card is not used as proof of identity. Instead, a driver's license, birth certificates, utility bills, and a voter's registration card are acceptable forms of proof of identity.

Proof of number of dependents claimed by bringing your Federal Income Tax Return and one of the following:

- Birth certificate on which the parent/applicant's name is listed
- School records which provide the parent/applicant's name and address
- Court-ordered letter of guardianship
- Divorce decree
- Letter of adoption

Should you have any difficulty in obtaining any of the above documents, please contact _____at phone number_____or e-mail _____for assistance.

APPLICATION FOR HOUSING ASSISTANCE

Type of Assistance:_____ **Annual Income: $** _____
Income Category (VL, LI, MI): _____

Applicant/Co-Applicant General Information	Applicant	Co-Applicant
Full Name:		
E-mail:		
Date of Birth/Age:		
Street Address:		Phone:
City:		State/Zip:
Mailing Address:		Phone:
City:		State/Zip:

Other Household Members:

Name(s)	Date of Birth/Age	Relationship to Applicant

Is Applicant, Co-Applicant, or any other household member, age 18 or older, a full-time student? If yes, please list:_____

Does Applicant/Co-Applicant own a home? Yes ___ No ___ Monthly rent/mortgage: $ _____

If No, type of unit to be purchased?_____existing unit ____newly constructed unit

Applicant/Co-Applicant Employment Information:

Employee Name:	Employer Name:	
Position:	Supervisor:	
Address/Phone:		Time Employed:
Pay Rate:		Pay Frequency:
Annual Income (gross salary, overtime, tips, bonuses, etc.): $		

Employee Name:	Employer Name:	
Position:	Supervisor:	
Address/Phone:		Time Employed:
Pay Rate:		Pay Frequency:
Annual Income (gross salary, overtime, tips, bonuses, etc.): $		

NOTE: Attach additional sheets as necessary for all household members 18 years and over

Other Sources of Income (For ALL Household Members 18 and Over, List Business or Rental Net Income, Child Support, Alimony, Social Security, Pensions, Unemployment or Workers Compensation, Welfare Payments, etc.)

Name	Type of Income	Gross Annual Amount
1.		
2.		
3.		
4.		
		Total: $ _____

Assets and Asset Income (For ALL Household Members, Including Minors, List Checking and Savings Accounts, IRA, CD, Bonds, Stocks, Equity in Properties, etc.)

Type of Asset	Asset Value	Bank/Account #	Annual Asset Income
1.			
2.			
3.			
4.			
	Total: $ _____		Total: $ _____

Liabilities (For ALL Household Members 18 and Over, List Credit Card Debt, and Auto, Real Estate and Mortgage Loans, etc.)

Type Credit/Loan	Creditor's Name	Balance Owed	Monthly Payment
1.			
2.			
3.			
4.			
			Total Annual Payments: $ _____

Ethnicity/Special Needs ***(For reporting purposes only, please check all that apply for Head of Household Only)*****:** White ___ Black ___ Hispanic ___ Asian/Pacific Islander ___
Native American ___ Farmworker ___ Disabled or Disabled Minor ___ Elderly __
Homeless ___ Other:_____

I/we understand that Florida Statute 817 provides that willful false statements or misrepresentation concerning income, asset or liability information relating to financial condition is a misdemeanor of the first degree, punishable by fines and imprisonment provided under Statutes 775.082 or 775.83. I/we further understand that any willful misstatement of information will be grounds for disqualification. I/we certify that the application information provided is true and complete to the best of my/our knowledge. I/we consent to the disclosure of information for the purpose of income verification related to making a determination of my/our eligibility for program assistance. I/we agree to provide any documentation needed to assist in determining eligibility and are aware that all information and documents provided are a matter of public record.

Applicant Signature Date Co-Applicant Signature Date

THIRD-PARTY VERIFICATION OF ASSET INCOME

(To Be Completed For All Household Members, Including Minors)

State and/or Federal Regulations require us to verify asset income information for the person who has provided authorization below, in order to determine their eligibility for program assistance. Your cooperation in providing the requested information below is most appreciated. A self-addressed return envelope is enclosed or you may fax to:

Authorization:
I hereby authorize the release of requested information. A copy of the executed "Authorization for the Release of Information" is attached which indicates my agreement with the release of information requested for the sole purpose of determining eligibility for program assistance.

_____ _____ _____
Signature of Applicant/Co-Applicant/Household Member Print Name Date

Please return information to:

Name:_____Title: _____

Department:_____Phone: _____

Address: _____

Complete the (applicable) Sections below:

Institution Name:_____Checking Account #:_____

Average Monthly Balance (last 6 months): $_____Interest Rate: _____

Savings Account #:_____Balance/Interest Rate: $_____,_____%_____

Certificate of Deposit #:_____Amount: $ _____

Interest Rate:_____Withdrawal Penalty: $ _____

IRA, Keogh, Retirement Account #:_____Amount: $ _____

Interest Rate:_____Withdrawal Penalty; $ _____

Other Account #:_____ Amount/Interest Rate: $_____, _____%_____

Signature of authorized representative: _____

Printed Name:_____Title: _____

Date:_____Phone: _____

WARNING: Florida Statute 817 provides that willful false statements or misrepresentation concerning income, asset or liability information relating to financial condition is a misdemeanor of the first degree, punishable by fines and imprisonment provided under Statutes 775.082 or 775.083.

NOTE: For ALL Household Members, including minors, obtain a signed copy of this form for each verification to be completed. Send form directly to depository institution; do not send form through applicant. Upon receiving verification, date-stamp, and compare information to that received on application. Make any necessary notations, date and initial. If significant differences exist between amount reported and verified, obtain a written explanation from applicant and attach to file.

AUTHORIZATION FOR THE RELEASE OF INFORMATION

I_____, the undersigned, hereby authorize _____to release without liability, information regarding my employment, income, and/or assets to_____, for the purposes of verifying information provided as part of determining eligibility for assistance under the_____program. I understand that only information necessary for determining eligibility can be requested.

Types of Information to be verified:

I understand that previous or current information regarding me may be required. Verifications that may be requested are, but not limited to: employment history, hours worked, salary and payment frequency, commissions, raises, bonuses, and tips; cash held in checking/savings accounts, stocks, bonds, certificated of deposits, Individual Retirement Accounts, interest, dividends; payments from Social Security, annuities, insurance policies, retirement funds, pensions, disability or death benefits, unemployment, disability or worker's compensation, welfare assistance, net income from the operation of a business, and alimony or child support payments.

Organizations/Individuals that may be asked to provide written/oral verifications are, but not limited to:

Past/Present Employers
Banks, Financial or Retirement Institutions
Unemployment Agency
Welfare Agency
Alimony/Child Support Providers
Social Security Administration State
Veteran's Administration
Other: _____

Agreement to Conditions:

I agree that a photocopy of this authorization may be used for the purposes stated above. I understand that I have the right to review this file and correct any information found to be incorrect.

Signature of Applicant/ Co-applicant	Printed Name	Date

Note: This general consent may not be used to request a copy of a tax return. If one is needed, contact your local IRS office or go online for Form 4506-T, "Request for Copy of Tax Return" and prepare and sign separately.

Verification of Child Support Payments

State and/or Federal Regulations require us to verify child support payments made to the person that has provided authorization below, in order to determine their eligibility for program assistance. Your cooperation in providing the requested information below is most appreciated. A self-addressed return envelope is enclosed or you may fax or email to:

Authorization:
I hereby authorize the release of requested information. A copy of the executed "Authorization for the Release of Information" is attached which indicates my agreement with the release of information requested for the sole purpose of determining eligibility for program assistance.

_____ _____ _____
Signature of Applicant Print Name Date

_____ _____ _____
Co-Applicant/Household Member Print Name Date

Please return information to (attach transcript):

Name: _____ Title: _____

Department _____ Email: _____

Address: _____ Phone: _____

Complete the Sections below:

Name of person paying child support: _____

Address:_____City_____State_____Zip _____

Children's names: _____

Amount of support $_____ ___weekly ____monthly ____yearly

Signature of Authorized

Representative:_____

Printed Name:_____Title:_____

Date:_____Phone: _____

WARNING: Florida Statute 817 provides that willful false statements or misrepresentation concerning income, asset or liability information relating to financial condition is a misdemeanor of the first degree, punishable by fines and imprisonment provided under Statutes 775.082 and 775.083.

FILE CHECKLIST FOR SHIP REHABILITATION OR PURCHASE ASSISTANCE

General Documents	Date Received/ Initials	Comments
Authorization for the Release of Information Form		
Income Verification Form(s)		
Income Certification Form		
Proof of Property Ownership (i.e. Deed or tax assessor document for rehabilitation assistance)		
Application for Program Assistance		
Letter of Commitment		
Lien Document with Recapture Provisions		
Rehabilitation Documents		
Initial Property Inspection		
Work Write-up and Cost Estimate		
Documentation of Contractor Eligibility or Licensure and Certification of Non-Debarment		
Contractor(s) Bid or Proposals		
Contractor/Home Owner or Home Buyer Contract		
Contractor Warranty Notice		
Work Inspection Reports		
Construction Payment Requests		
Certificate of Occupancy or Completion		
Final Payment Release		
Change Orders (if applicable)		
Purchase Assistance Documents		
HUD 1 Settlement or Closing Disclosure		
Copy of First Mortgage Document		
Release of Liens (for any repairs performed)		
Title Policy for Title Insurance		
Final Inspection Report		

RESIDENT INCOME CERTIFICATION - HOME OWNER

https://www.floridahousing.org/docs/default-source/programs/special-programs/ship---state-housing-initiatives-partnership-program/homeownership-income-certification-form-2132025.docx?sfvrsn=704ccf7b_1

RESIDENT INCOME CERTIFICATION - Renter

https://www.floridahousing.org/docs/default-source/programs/special-programs/ship---state-housing-initiatives-partnership-program/rental-income-certification-form-2132025.docx?sfvrsn=714ccf7b_1

THIRD-PARTY VERIFICATION OF INCOME FROM BUSINESS

State and/or Federal Regulations require us to verify business income information for the person that has provided authorization below, in order to determine their eligibility for program assistance. Your cooperation in providing the requested information below is most appreciated. A self-addressed return envelope is enclosed, or you may fax to:_____or email to:_____

Authorization:
I hereby authorize the release of requested information. A copy of the executed "Authorization for the Release of Information" is attached which indicates my agreement with the release of information requested for the sole purpose of determining eligibility for program assistance.

_____ _____ _____
Signature of Applicant/Co-Applicant/Household Member Print Name Date

Please return information to:

Name:_____ Title:_____

Department:_____ Phone:_____

Address: _____

Complete the (applicable) Sections below:

Dates Business Transacted from:_____ Gross Income: _____
Expenses (Provide Amounts for Applicable Expenses):

Interest on Loans:	$	Costs of goods/materials:	$
Rent:	$	Utilities:	$
Wages/Salaries:	$	Employee Contributions:	$
Federal Withholding Tax:	$	State Withholding Tax:	$
FICA:	$	Sales Tax:	$
Other:	$	Other:	$
Straight Line Depreciation:	$	Total Expenses:	
Net Income:	$		

Signature of Authorized Representative:_____

Printed Name:_____ T i t l e :_____

Date:_____ Phone:_____

WARNING: Florida Statute 817 provides that willful false statements or misrepresentation concerning income, asset or liability information relating to financial condition is a misdemeanor of the first degree, punishable by fines and imprisonment provided under Statutes 775.082 or 775.083.

Verification of Pensions and Annuities

State and/or Federal Regulations require us to verify pension and annuity benefits made to the person that has provided authorization below, in order to determine their eligibility for program assistance. Your cooperation in providing the requested information below is most appreciated. A self-addressed return envelope is enclosed or you may fax to:_____ or email to: _____

Authorization: I hereby authorize the release of requested information. A copy of the executed "Authorization for the Release of Information" is attached which indicates my agreement with the release of information requested for the sole purpose of determining eligibility for program assistance.

_____ _____ _____
Signature of Applicant Print Name Date

_____ _____ _____
Co-Applicant/Household Member Print Name Date

Please return information to:

Name_____Title:_____Department: _____

Address:_____Phone:_____

To: Name of Institution_____

Address:_____City:_____State:_____Zip:_____

Complete the Sections below:

Current monthly gross amount of pension or annuity: $_____

Deduction from Gross for Medical insurance premiums $_____

Date of initial award $_____Effective date of current amount _____

Expected change in current amount:_____New amount $_____

Contribution to company retirement/pension fund $_____

Amount received in lump sum $_____Date_____

Signature of authorized representative: _____

Printed Name:_____Title:

Date:_____Phone: _____

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THIRD-PARTY VERIFICATION OF REGULAR CASH CONTRIBUTIONS
(i.e. Paying Rent, Regular Family Assistance, Alimony, etc.)

State and/or Federal Regulations require us to verify regular cash contributions made to the person who has provided authorization below, in order to determine their eligibility for program assistance. Your cooperation in providing the requested information below is most appreciated. A self-addressed return envelope is enclosed or you may fax to:_____ or email to: _____

Authorization:

I hereby authorize the release of requested information. A copy of the executed "Authorization for the Release of Information" is attached which indicates my agreement with the release of information requested for the sole purpose of determining eligibility for program assistance.

_____ _____ _____
Signature of Applicant/Co-Applicant/Household Member Print Name Date

Please return information to:

Name:_____Title:_____

Department:_____Phone:_____

Address: _____

Complete the Sections below:

Type of Cash Contribution:_____Amount: $_____

Frequency of Contribution (Wk., Mo):_____Will Payments Continue (Y or N): _____

Signature of Authorized Representative:_____

Printed Name:_____Title:_____

Date:_____Phone:_____

WARNING: Florida Statute 817 provides that willful false statements or misrepresentation concerning income, asset or liability information relating to financial condition is a misdemeanor of the first degree, punishable by fines and imprisonment provided under Statutes 775.082 or 775.83.

NOTE: For ALL applicable Household Members 18 years or over, obtain a signed copy of this form for each verification to be completed. Send form directly to the appropriate person/agency; do not send form through applicant. Upon receiving verification, date-stamp, and compare information to that received on application. Make any necessary notations, date and initial. If significant differences exist between amount reported and verified, obtain a written explanation from applicant and attach to file.

THIRD-PARTY VERIFICATION OF SOCIAL SECURITY BENEFITS

State and/or Federal Regulations require us to verify Social Security Benefit income for the person who has provided authorization below, in order to determine their eligibility for program assistance. Your cooperation in providing the requested information below is most appreciated. A self-addressed return envelope is enclosed or you may fax to _____ or email to:_____

Authorization:

I hereby authorize the release of requested information. A copy of the executed "Authorization for the Release of Information" is attached which indicates my agreement with the release of information requested for the sole purpose of determining eligibility for program assistance.

_____ _____ _____

Signature of Applicant/Co-Applicant/Household Member Print Name Date

Please return information to:

Name:_____Title:_____

Department:_____Phone: _____

email_____

Address:_____

Complete the Sections below:

Date of Birth:_____Social Security #:_____

Type of Social Security Benefit:_____Gross Monthly Amount: $ _____

Type of Supplemental Security Benefit:_____Gross Monthly Amount: $ _____

Deduction for Medicare (Y or N):_____If yes, Amount Deducted: $ _____

Signature of Authorized Representative:_____

Printed Name:_____Title:_____

Date:_____Phone:_____

WARNING: Florida Statute 817 provides that willful false statements or misrepresentation concerning income, asset or liability information relating to financial condition is a misdemeanor of the first degree, punishable by fines and imprisonment provided under Statutes 775.082 or 775.83.

NOTE: For ALL applicable Household Members 18 *years or over, obtain a signed copy of this form for each verification to be completed. Send form directly to the appropriate administration; do not send form through applicant. Upon receiving verification, date-stamp, and compare information to that received on application. Make any necessary notations, date and initial. If significant differences exist between amount reported and verified, obtain a written explanation from applicant and attach to file.*

THIRD-PARTY VERIFICATION OF UNEMPLOYMENT BENEFITS

State and/or Federal Regulations require us to verify unemployment benefit income for the person who has provided authorization below, in order to determine their eligibility for program assistance. Your cooperation in providing the requested information below is must appreciated. A self-addressed return envelope is enclosed or you may fax to: _____or e-mail to_____

Authorization:

I hereby authorize the release of requested information. A copy of the executed "Authorization for the Release of Information" is attached which indicates my agreement with the release of information requested for the sole purpose of determining eligibility for program assistance.

_____ _____ _____
Signature of Applicant/Co-Applicant/Household Member Print Name Date

Please return information to:

Name:_____Title: _____

Department: _____ Phone: _____ email _____

Address: _____

Complete the Sections below:

Are Benefits being paid now (Y or N):_____If Yes, Gross Weekly Payments: $ _____

Date of Initial Payment:_____Duration of Benefits: _____

Claimant Eligible for Future Benefits (Y or N):_____If Yes, provide # of weeks: _____

If No, Provide Date of Benefits Termination: _____

Signature of authorized representative: _____

Printed Name:_____Title: _____

Date:_____Phone: _____

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NOTE: For ALL applicable Household Members 18 years or over, obtain a signed copy of this form for each verification to be completed. Send form directly to the appropriate agency; do not send form through applicant. Upon receiving verification, date-stamp, and compare information to that received on application. Make any necessary notations, date and initial. If significant differences exist between amount reported and verified, obtain a written explanation from applicant and attach to file.

THIRD-PARTY VERIFICATION OF EMPLOYMENT

Note to employer: Please provide information about anticipated income during the next 12 months only.

State and/or Federal Regulations require us to verify employment history and income information for the person who has provided authorization below, in order to determine their eligibility for program assistance. Your cooperation in providing the requested information below is most appreciated. A self-addressed return envelope is enclosed or you may fax to: _____or email to: _____

Authorization:
I hereby authorize the release of requested information. A copy of the executed" Authorization for the release of Information" is attached which indicates my agreement with the release of information requested for the sole purpose of determining eligibility for program assistance.

_____
Signature of Applicant/Print Name Date

Co-Applicant/Household Member

Please return information to:

Name:_____Title: _____
Department:_____ Phone: _____
Address: _____

Position: _____ Date of hire:_____Probability of continued employment (Y or N)
Current Pay Rate:_____Pay Frequency (Hr., Wk., Mo):_____per _____

Overtime Pay Rate:_____Expected overtime hours during the next 12 months: _____

Total anticipated Annual Base Pay Earnings for the next 12 months: _____

Total anticipated Overtime Base Pay Earnings for the next 12 months: _____

Probability and expected date of any pay increase_____Amount of increase _____ New rate of Pay _____

Amount of Other Compensation anticipated during the next 12 months (bonus, commission, tips): $_

Vacation Pay (Y or N): _____if yes, number of days: _____

Retirement Account (Y or N) Amount Accessible to Employee: _____

Penalty for withdrawal (Y or N) Penalty Amount _____

Total anticipated Gross Annual Income, including other compensation, for next 12 months: ___

Signature of authorized representative: _____

Printed Name:_____Title: _____

Date: _____Phone: _____

NOTE: For ALL applicable Household Members 18 years or over, obtain a signed copy of this form for each verification to be completed. Send form directly to the appropriate employment source; do not send form through applicant. Upon receiving verification, date-stamp, and compare information to that received on application. Make any necessary notations, date and initial. If significant differences exist between amount reported and verified, obtain a written explanation from applicant and attach to file.

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Verification of Verbal

APPLICANT INFORMATION

Name:_____

Address:_____Phone: _____

Type of Assistance: Homebuyer ____ Homeowner Rehab _____ Emergency Repair _____

Other: _____

Type of Information being verified: Employment ____ Household _____ Assets _____

Other: _____

Name of Entity being contacted:_____Phone number:_____

Name of person contacted:_____Title: _____

Notes:

_____ _____ _____

Signature (Receiving Verbal Verification) Date of Verbal Verification Time

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Verification of Veteran's Benefits

State and/or Federal Regulations require us to verify veteran benefits made to the person that has provided authorization below, in order to determine their eligibility for program assistance. Your cooperation in providing the requested information below is most appreciated. A self-addressed return envelope is enclosed or you may fax to: _____ or email to: _____

Authorization:
I hereby authorize the release of requested information. A copy of the executed "Authorization for the Release of Information" is attached which indicates my agreement with the release of information requested for the sole purpose of determining eligibility for program assistance.

_____
Signature of Beneficiary Print Name Date

Address of Beneficiary: _____

_____

Please return information to:

Name:_____Title:_____

Department: _____ Email: _____

Address:_____Phone: _____

Complete the Sections below:

Name of Veteran: _____
Address _____
Claim No._____Date of Birth _____
Service dates: From_____to _____
Benefits paid to_____current benefit amount _____
Original start date:_____this amount will _____increase _____decrease
Date change takes effect:_____ new amount $_____
Benefit Type: _____

Signature of authorized representative:
Printed Name:_____Title: _____
Date:_____Phone: _____

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